# H1 2017 Interim Report of the Dino Polska S.A. Group

**Dino Polska Spółka Akcyjna** ("Dino", "Company", "parent entity")
Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of commercial undertakings of the National Court Register under file number 0000408273. Taxpayer Identification Number (NIP): 6211766191, REGON statistical number: 300820828. The Company's share capital as at 30 June 2017 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("H1 2017 Interim Report", "Report") comprises the interim condensed consolidated financial statements of the Dino Polska S.A. Group ("Group", "Dino Group") ("Financial Statements") for the 6-month period ended 30 June 2017, the Company's interim financial statements for the 6-month period ended 30 June 2017 and additional information required by the provisions of law.

The Dino Group is the source of data in this Report, unless otherwise stated. The preparation date of this report ("Report Date") is 29 August 2017.

**Unofficial translation. Only the original Polish text of H1 2017 Interim Report is binding.**

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# 1. THE DINO GROUP'S FINANCIAL HIGHLIGHTS

| | *PLN 000s* | | *EUR 000s** | |
|---|---|---|---|---|
| | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** |
| Revenue | 2,018,398 | 1,533,469 | 472,648 | 351,206 |
| Operating profit | 114,372 | 90,528 | 26,783 | 20,733 |
| Profit before tax | 96,659 | 75,435 | 22,635 | 17,277 |
| Net profit | 77,142 | 61,283 | 18,064 | 14,035 |
| Number of shares | 98,040,000 | 98,040,000 | 98,040,000 | 98,040,000 |
| Basic / diluted EPS in PLN, EUR | 0.79 | 0.63 | 0.18 | 0.14 |
| Cash flow from operating activities | 125,274 | 48,665 | 29,335 | 11,146 |
| Cash flow from investing activities | (171,097) | (159,558) | (40,066) | (36,543) |
| Cash flow from financing activities | 22,445 | 101,468 | 5,256 | 23,239 |
| Net movement in cash and cash equivalents | (23,378) | (9,425) | (5,474) | (2,159) |

* In the case of data in EUR, the average EUR/PLN exchange rate in the period, as published by the National Bank of Poland, was used:

- average NBP exchange rate for H1 2017: 4.2704 PLN/EUR;
- average NBP exchange rate for H1 2016: 4.3663 PLN/EUR.

| | *PLN 000s* | | *EUR 000s** | |
|---|---|---|---|---|
| | ***as at 30 June 2017*** | ***as at 31 December 2016*** | ***as at 30 June 2017*** | ***as at 31 December 2016*** |
| Total assets | 2,028,415 | 1,856,840 | 479,928 | 419,720 |
| Total non-current assets | 1,612,320 | 1,457,146 | 381,479 | 329,373 |
| Total current assets | 416,095 | 399,694 | 98,449 | 90,347 |
| Equity | 768,118 | 683,476 | 181,739 | 154,493 |
| Share capital | 9,804 | 9,804 | 2,320 | 2,216 |
| Non-current liabilities | 516,285 | 459,378 | 122,154 | 103,838 |
| Current liabilities | 744,012 | 713,986 | 176,035 | 161,389 |

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- average NBP exchange rate as at 30 June 2017: 4.2265 PLN/EUR;
- average NBP exchange rate as at 31 December 2016: 4.4240 PLN/EUR.

# 2. The Management Board's activity report

## 2.1. Operations of the Dino Group

### 2.1.1. Business profile

Dino is a leading player in Poland's prospective and growing proximity supermarket segment. The Company is the fastest growing proximity supermarket network in Poland (measured by the CAGR of the number of stores in 2010-2015, source: Roland Berger) and one of the fastest growing networks (measured by the number of stores and revenue) in the overall retail grocery market in Poland.

Dino's business model combines the advantages of the proximity format (i.e. medium-sized stores in convenient locations, in most cases close to their places of residence or featuring much more traffic) with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 30 June 2017, the Dino chain consisted of 677 stores located predominantly in Western Poland with a total sales floor area of 257,123 square meters. The Dino Group has many years of experience and a proven capacity to open new stores using its own properties, enabling it to grow its number of stores by 353 in the period from the beginning of 2014 to 30 June 2017. Its network expansion has been accompanied by significant (LFL) sales growth in its existing store network, which in Q2 2017 stood at 16.5%, (and 14.7% in H1 2017) compared to the corresponding period of last year. In comparison, it was 12.0% in Q2 2016 and 10.3% in the entire H1 2016. The Dino Group continues to develop its network, consistently looking for new sites for its stores. In accordance with the Dino Group's strategy, the Management Board plans to exceed 1,200 stores by the end of 2020.

Dino stores are characterized by their uniform format. Most stores have a sales area of approx. 400 square meters and are located primarily in smaller communities, small and medium-sized towns and in the peripheries of big cities. Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Ownership of most land and construction of own stores allow the Dino Group to implement a uniform store format and make it possible to open stores quickly in new locations, where the availability of suitable space for lease is limited.

Each store offers its customers approx. 5,000 stock keeping units (SKUs), mostly well-known branded products with emphasis placed on its fresh product offering. The Dino Group offers key products at competitive prices. One of the most important attributes that differentiate Dino from discount networks is that every store has a meat counter with counter staff.

Dino Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on 3 distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers consistently enhance the Dino Group's profitability.

The Dino Group strategy assumes further growth through focus on three key areas:

- <u>continuation of fast organic growth measured by the number of stores</u> – Dino plans to exceed the number of 1,200 stores by the end of 2020. The Dino Group plans to continue its strategy of keeping the ownership of most of the real properties on which the stores are located and use the opportunities for organic network growth in the current form by doing the following: (i) increasing the density of stores in the current areas of its operation, and (ii) expanding gradually to the northern and eastern parts of Poland.

- <u>continuation of the revenue growth on a like-for-like (LFL) basis</u> – in order to continue the improvement in revenue on the like-for-like basis, the Dino Group will take measures to increase the number of customers shopping at Dino stores and the value of goods purchased per customer.

- consistent profitability growth – in 2014-2016, the Dino Group steadily enhanced its gross sales margin and EBITDA margin. The goal is to continue improving profitability by increasing the scale of business, through positive features of the business model and strategic initiatives undertaken by the Dino Group.

### 2.1.2. Recap of the Dino Group's operations in H1 2017

In H1 2017, the Dino Group's revenues totaled PLN 2,018.4 million and were PLN 484.9 million, i.e. 31.6%, higher than in H1 2016. At the same time, the cost of sales increased 31.3% to PLN 1,560.1 million, as a result of which the gross sales margin was 22.7%, i.e. 0.2 percentage points above H1 2016. EBITDA[1] climbed 37.3% year on year to PLN 166.2 million. The EBITDA margin of 8.2% was 0.3 percentage points higher than in H1 2016.

In Q2 2017, the Dino Group's revenues totaled PLN 1,108.1 million and were PLN 282.0 million, i.e. 34.1%, higher than in Q2 2016. At the same time, the cost of sales increased 34.1% to PLN 858.3 million, as a result of which the gross sales margin was 22.54%, i.e. 0.02 percentage points above Q2 2016. EBITDA[2] climbed 43.8% year on year to PLN 97.8 million. The EBITDA margin of 8.8% was 0.6 percentage points higher than in Q2 2016.

***The following table presents selected line items of the consolidated statement of profit or loss[3]***

| (PLN 000s) | Q2 2017 | Q1 2017 | Q4 2016 | Q3 2016 | Q2 2016 | Q1 2016 | Change H1 2017 / H1 2016 | Change Q2 2017 / Q2 2016 |
|---|---|---|---|---|---|---|---|---|
| **Revenue** | **1,108,063** | **910,335** | **919,403** | **916,645** | **826,106** | **707,363** | **31.6%** | **34.1%** |
| Cost of sales | (858,315) | (701,744) | (705,804) | (705,374) | (640,102) | (547,725) | 31.3% | 34.1% |
| **Gross profit on sales** | **249,748** | **208,591** | **213,599** | **211,271** | **186,004** | **159,638** | **32.6%** | **34.3%** |
| Other operating income | 736 | 476 | 559 | 661 | 374 | 1,022 | -13.2% | 96.8% |
| Sales and marketing expenses | (160,725) | (149,746) | (132,176) | (137,364) | (123,030) | (113,285) | 31.4% | 30.6% |
| Overhead | (21,417) | (12,903) | (15,478) | (14,092) | (11,261) | (8,603) | 72.8% | 90.2% |
| Other operating expenses | (292) | (96) | (855) | (1,064) | (137) | (194) | 17.2% | 113.1% |
| **Operating profit** | 68,050 | 46,322 | 65,649 | 59,412 | 51,950 | 38,578 | 26.3% | 31.0% |
| Finance income | 42 | 98 | 290 | 156 | (7) | 34 | 418.5% | - |
| Finance costs | (9,438) | (8,415) | (6,453) | (8,034) | (7,351) | (7,769) | 18.1% | 28.4% |
| **Profit before tax** | **58,654** | **38,005** | **59,486** | **51,534** | **44,592** | **30,843** | **28.1%** | **31.5%** |
| Income tax | (11,967) | (7,550) | (21,516) | 423 | (6,696) | (7,456) | 37.9% | 78.7% |
| **Net profit** | **46,687** | **30,455** | **37,970** | **51,957** | **37,896** | **23,387** | **25.9%** | **23.2%** |

#### *Revenue*

Significant topline improvement is driven by the Dino store network's rollout by adding new stores and growing revenue in the existing store network (like for like, LfL)[4]. LfL sales growth in Q2 2017 was 16.5%, compared to the corresponding period of 2016, while in Q2 2016 it was 12.0%.

*[1] EBITDA net of the non-recurring costs associated with the Company's IPO totaling PLN 1,105 thousand in H1 2016 and PLN 12,272 thousand in H1 2017 (of which PLN 7.5 million were non-cash expenses causing no working capital outflow from the Group, which in the balance sheet were reflected in an equity increase related to the incentive program funded by the selling shareholder for the Company's Management Board in the IPO).*

*[2] EBITDA net of the non-recurring costs associated with the Company's IPO totaling PLN 1,105 thousand in Q2 2016 and PLN 9,311 thousand in Q2 2017 (of which PLN 7.5 million were non-cash expenses described above).*

*[3] The data for individual quarters have not been adjusted for one-offs related to the public offering, i.e. the costs of the offering and of the incentive program related to the offering in the total amount of PLN 1,105 thousand in Q2 2016, PLN 2,692 thousand in Q3 2016, PLN 3,703 thousand in Q4 2016, PLN 2,691 thousand in Q1 2017 and PLN 9,311 thousand in Q2 2017 (of which PLN 7.5 million were the non-cash expenses described above)*

*[4] stores are included in the calculation of LfL revenue starting from the 13th month of their existence*

***The following table presents a comparison of the inflation trends in Poland and LFL revenue growth in Dino's existing store network.***

| % | H1 2017 | Q2 2017 | Q1 2017 | H1 2016 | Q2 2016 | Q1 2016 | 2016 | 2015 | 2014 | 2013 | 2012 | 2011 | 2010 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Inflation (deflation).......... | 1.9 | 1.8 | 2.0 | -0.9 | -0.9 | -0.9 | -0.6 | -0.9 | 0 | 0.9 | 3.7 | 4.3 | 2.6 |
| Food price inflation.......... | 3.4 | 3.4 | 3.4 | 0.6 | 0.8 | 0.4 | 0.8 | -1.7 | -0.9 | 2.0 | 4.3 | 5.4 | 2.7 |
| **Dino's LFL** .................... | **14.7** | **16.5** | **12.6** | **10.3** | **12.0** | **8.4** | **11.3** | **5.1** | **4.2** | **7.5** | **14.1** | **16.6** | **15.5** |

Fresh products, including meat, cold cuts and poultry, accounted for 36.7% of the Group's sales in Q2 2017 and 37.0% in H1 2017, i.e. they rose by 0.2 percentage points and 0.1 percentage points, respectively, compared to the corresponding periods in 2016.

***The following table presents the structure of revenue by product in individual periods.***

| % | **H1 2017** | **H1 2016** | **Q2 2017** | **Q2 2016** |
|---|---|---|---|---|
| Fresh products................................................................................ | 37.0 | 36.9 | 36.7 | 36.5 |
| Dry grocery products, beverages, alcohol and cigarettes............................. | 50.4 | 50.8 | 50.7 | 51.1 |
| Non-grocery products ..................................................................... | 12.6 | 12.3 | 12.6 | 12.4 |

## Development of Dino's store network

In Q2 and H1 2017, the Dino Group achieved more progress in the new store construction process than in the corresponding period of 2016. At the end of Q2 2017, the Group had secured 429 locations for further rollout. 116 plots were purchased and owned (99 last year) and construction was under way on 70 of them (47 last year). In the case of 313 other plots, the Dino Group had signed preliminary purchase agreements (237 at the end of June 2016).

***The following table presents the number of plots secured for the Dino network's store rollout and the number of new store openings.***

| | **As at** | | | |
|---|---|---|---|---|
| | **30 June 2017** | **31 March 2017** | **30 June 2016** | **31 March 2016** |
| Plots purchased ..................................................................... | 116 | 121 | 99 | 101 |
| *including construction in progress* ............................ | *70* | *58* | *47* | *46* |
| preliminary agreements...................................................... | 313 | 268 | 237 | 209 |
| **Total:**.................................................................................. | **429** | **389** | **336** | **310** |
| Number of new store openings in the quarter...................... | 38 | 11 | 28 | 18 |

38 new Dino stores were opened in Q2 2017, 10 more than last year. Overall in H1 2017, the Dino chain grew by 49 stores, compared to 46 in the corresponding period last year. One of the Company's strategic goals is to exceed the number of 1,200 stores by the end of 2020. As at 30 June 2017, the Dino network consisted of 677 markets, 120 more than the year before.

***The following table presents information on the Dino Group's number of stores as at specified dates.***

| | Number of stores as at 30 June | Number of stores as at 31 December | | |
|---|---|---|---|---|
| | 2017 | 2016 | 2015 | 2014 |
| Own stores | 569 | 522 | 406 | 317 |
| Leased stores | 95 | 94 | 94 | 83 |
| Franchise stores | 13 | 12 | 11 | 10 |
| **Total number of stores** | **677** | **628** | **511** | **410** |
| **Total selling area (m2)** | **257,123** | **238,416** | **191,579** | **151,542** |

## Cost of sales

Cost of sales accounted for 77.3% and 77.5%, respectively of sales revenues in H1 2017 and H1 2016. The cost of sales rose by PLN 372.2 million, i.e. 31.3%, to PLN 1,560.1 million in H1 2017 compared to PLN 1,187.8 million in H1 2016, coupled with the commensurate 31.6% growth in sales revenues. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in its existing store network (LFL).

## Sales and marketing expenses

Sales and marketing expenses increased by PLN 74.2 million, or 31.4%, to PLN 310.5 million in H1 2017 compared to PLN 236.3 million in H1 2016. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in its existing store network, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

## General and administrative expenses

General and administrative expenses increased by PLN 3.3 million net of non-recurring costs to conduct Dino's initial public totaling PLN 1,105 thousand in H1 2016 and PLN 12,272 thousand in H1 2017, of which PLN 7,500 thousand constituted a non-cash expense described in chapter 2.4 – *Other information – Non-recurring amounts and events),* i.e. 17.5% to PLN 22.0 million in H1 2017 compared with PLN 18.9 million in H1 2016. This was mainly caused by the expansion of the Dino Group's store network (some administrative functions expanded in conjunction with the Dino Group's store network rollout).

## Costs by nature

***The following table presents costs by nature[5].***

| (PLN 000s) | Q2 2017 | Q1 2017 | Q4 2016 | Q3 2016 | Q2 2016 | Q1 2016 | Change H1 2017/ H1 2016 | Change Q2 2017/ Q2 2016 |
|---|---|---|---|---|---|---|---|---|
| Depreciation and amortization | 20,418 | 19,176 | 18,546 | 17,246 | 14,918 | 14,492 | 34.6% | 36.9% |
| Consumption of materials and energy | 108,869 | 90,054 | 92,002 | 90,480 | 77,637 | 71,491 | 33.4% | 40.2% |
| External services | 39,877 | 36,039 | 35,293 | 37,628 | 34,639 | 28,399 | 20.4% | 15.1% |
| Taxes and charges | 6,238 | 5,673 | 4,191 | 4,086 | 4,391 | 4,461 | 34.6% | 42.1% |
| Employee benefits | 111,288 | 100,519 | 93,300 | 88,599 | 80,216 | 74,024 | 37.3% | 38.7% |
| Other costs by nature | 3,666 | 3,242 | 2,282 | 2,397 | 4,225 | 3,737 | -13.2% | -13.2% |
| Cost of goods and materials sold | 742,041 | 609,459 | 602,649 | 614,916 | 557,409 | 474,904 | 30.9% | 33.1% |
| **Total costs by nature, including:** | 1,032,397 | 864,162 | 848,263 | 855,352 | 773,435 | 671,508 | 31.3% | 33.5% |
| Items captured in own cost of sales | 858,315 | 701,744 | 705,804 | 705,374 | 640,102 | 547,725 | 31.3% | 34.1% |
| Items captured in sales and marketing expenses | 160,725 | 149,746 | 132,176 | 137,364 | 123,030 | 113,285 | 31.4% | 30.6% |
| Items captured in overhead costs | 12,106 | 9,942 | 11,775 | 11,400 | 10,156 | 8,603 | 17.5% | 19.2% |
| Movement in products | 1,251 | 2,730 | -1,492 | 1,214 | 147 | 1,895 | 95.0% | 751.0% |

Total costs by nature, after adjustment for non-recurring expenses related to the IPO (totaling PLN 12,272 thousand in H1 2017 and PLN 1,105 thousand in H1 2016) increased by PLN 451.6 million, or 31.3%, to PLN 1,896.6 million in H1 2017, compared to PLN 1,444.9 million in H1 2016, mainly as a result of the increase in the following: (i) cost of goods and materials sold (by PLN 319.2 million), (ii) costs of employee benefits (by PLN 57.6 million), (iii) consumption of materials and energy (by PLN 49.8 million) and (iv) external services (by PLN 12.9 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the existing network (LFL).

Employee benefits, after adjustment for the non-recurring expenses related to the IPO (PLN 10,334 thousand in H1 2017 and PLN 838 thousand in H1 2016), climbed PLN 57.6 million, i.e. 37.3% to PLN 211.8 million in H1 2017 in comparison with PLN 154.2 million in H1 2016. This growth resulted primarily from the number of Dino Group employees rising from 9,429 as at 30 June 2016 to 11,420 as at 30 June 2017 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising sales in the existing chain (LFL) and, to a lesser extent, from the higher average salary in the Dino Group and the statutory minimum wage hike at the beginning of 2017 (from PLN 1,850 to PLN 2,000).

The consumption of materials and energy increased by PLN 49.8 million, or 33.4%, to PLN 198.9 million in H1 2017 compared to PLN 141.1 million in H1 2016. This growth was caused mainly by higher consumption of materials and raw materials in connection with the Dino Group's expanding business size and the expansion of the Dino Group's store network and rising sales in the existing store chain (LFL).

External services, comprising in particular transportation services, lease and tenancy services and maintenance services, adjusted for the non-recurring costs of the IPO (PLN 1,493 thousand in H1 2017 and PLN 267 thousand in H1 2016), increased by PLN 12.9 million, or 20.4%, to PLN 75.9 million in H1 2017 compared to PLN 63.0 million in H1 2016. This growth was caused mainly by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising sales in the existing store chain (LFL).

[5] *The data have been adjusted for one-offs related to the public offering, i.e. in Q2 2016 by PLN 1,105 thousand (PLN 267 thousand captured in third party services;838 thousand in employee benefit expenses); in Q3 2016 by PLN 2,692 thousand (PLN 2,690 thousand included in employee benefit expenses, PLN 2 thousand in other costs by type); in Q4 2016 by PLN 3,703 thousand (PLN 1,549 thousand included in third party services, PLN 2,138 thousand in employee benefit expenses, PLN 16 thousand in other costs by type); in Q1 2017 by PLN 2,961 thousand (PLN 998 thousand in third party services, PLN 15 thousand in other cost by type; in Q2 2017 by PLN 9,311 thousand (PLN 495 thousand in third party services, PLN 430 thousand in other costs by nature and PLN 8,386 thousand as employee benefit expenses (of which PLN 7,500 thousand of non-cash expenses)*

## Financial expenses

The Dino Group's financial expenses increased by PLN 2.7 million, or 18.1%, to PLN 17.9 million in H1 2017 compared to PLN 15.1 million in H1 2016. This growth was caused mainly by the higher amount of interest on lease and trade liabilities as a result of the Group's growing business and the related expansion of the Dino Group's store network and rising sales in the existing store network (LFL).

## Balance sheet – assets

| *(PLN 000s)* | **30 June 2017** | **31 March 2017** | **31 December 2016** | **30 September 2016** | **30 June 2016** | **31 March 2016** | **Change 30 June 2017 / 31 December 2016** | **Change 30 June 2017 / 30 June 2016** |
|---|---|---|---|---|---|---|---|---|
| Property, plant and equipment | 1,496,962 | 1,386,389 | 1,337,207 | 1,260,513 | 1,180,504 | 1,090,826 | 11.9% | 26.8% |
| Intangible assets | 92,200 | 92,510 | 93,072 | 92,145 | 91,465 | 91,952 | -0.9% | 0.8% |
| Deferred tax assets | 23,158 | 21,919 | 26,867 | 34,353 | 32,755 | 30,352 | -13.8% | -29.3% |
| **Total non-current assets** | **1,612,320** | **1,500,818** | **1,457,146** | **1,387,011** | **1,304,724** | **1,213,130** | **10.6%** | **23.6%** |
| Inventories | 306,906 | 290,707 | 276,541 | 234,936 | 221,273 | 221,320 | 11.0% | 38.7% |
| Trade and other receivables | 29,253 | 19,155 | 33,665 | 17,605 | 11,025 | 9,382 | -13.1% | 165.3% |
| Income tax receivables | 30 | 603 | 613 | 27 | 8 | 113 | -95.1% | 275.0% |
| Other non-financial assets | 36,856 | 32,395 | 22,447 | 26,318 | 28,982 | 28,618 | 64.2% | 27.2% |
| Cash and cash equivalents | 43,050 | 36,425 | 66,428 | 42,965 | 24,495 | 13,818 | -35.2% | 75.8% |
| **Total current assets** | **416,095** | **379,285** | **399,694** | **321,851** | **285,783** | **273,251** | **4.1%** | **45.6%** |
| **TOTAL ASSETS** | **2,028,415** | **1,880,103** | **1,856,840** | **1,708,862** | **1,590,507** | **1,486,381** | **9.2%** | **27.5%** |

Total assets increased by PLN 171.6 million, i.e. 9.2%, from PLN 1,856.8 million as at 31 December 2016 to PLN 2,028.4 million as at 30 June 2017. Compared to 30 June 2016, total assets rose PLN 437.9 million, i.e. 27.5%.

As at 30 June 2017, the main components of total assets were: (i) property, plant and equipment (constituting 73.8%), (ii) inventories (constituting 15.1%), (iii) intangible assets (constituting 4.5%) and (iv) cash and cash equivalents (constituting 2.1%).

Total assets increased by PLN 155.2 million, i.e. 10.6%, from PLN 1,457.1 million as at 31 December 2016 to PLN 1,612.3 million as at 30 June 2017. Compared to 30 June 2016, non-current assets rose PLN 307.6 million, i.e. 23.6%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group's network roll-out (new Dino stores) and capital expenditures.

Current assets rose by PLN 16.4 million, or 4.1% from PLN 399.7 million as at 31 December 2016 to PLN 416.1 million as at 30 June 2017. This increase was caused by higher inventories (up PLN 30.4 million) in connection with the increasing scale of operations of the Dino Group and other non-financial assets (by PLN 14.4 million), which was partially offset by cash and cash equivalents declining PLN 23.4 million and trade and other receivables declining PLN 4.4 million (in connection with the calendar effect and seasonality of sales).

Compared to 30 June 2016, current assets increased by PLN 130.3 million, i.e. 45.6% primarily as a result of higher: (i) inventories (up PLN 85.6 million) which was caused mainly by the Dino Group's expanding business size with the new store rollout and the new distribution center in Jastrowie (opened in July 2016), (ii) cash and cash equivalents (up PLN 18.6 million) and (iii) trade and other receivables (up PLN 18.2 million).

## Balance sheet – equity and liabilities

| *(PLN 000s)* | 30 June 2017 | 31 March 2017 | 31 December 2016 | 30 September 2016 | 30 June 2016 | 31 March 2016 | Change 30 June 2017 / 31 December 2016 | Change 30 June 2017/ 30 June 2016 |
|---|---|---|---|---|---|---|---|---|
| **Equity** | **768,118** | **713,962** | **683,476** | **645,506** | **593,549** | **555,653** | **12.4%** | **29.4%** |
| Share capital | 9,804 | 9,804 | 9,804 | 9,804 | 9,804 | 9,804 | 0.0% | 0.0% |
| Supplementary capital | 1,111,860 | 790,168 | 510,720 | 510,720 | 510,720 | 510,720 | 117.7% | 117.7% |
| Retained earnings | (361,046) | (86,010) | 162,952 | 124,982 | 73,025 | 35,129 | - | - |
| Other equity components | 7,500 | 0 | 0 | 0 | 0 | 0 | - | - |
| **Total equity** | **768,118** | **713,962** | **683,476** | **645,506** | **593,549** | **555,653** | **12.4%** | **29.4%** |
| Interest-bearing loans and borrowings and finance lease liabilities | 508,545 | 487,167 | 452,378 | 436,725 | 399,163 | 370,010 | 12.4% | 27.4% |
| Other liabilities | 270 | 270 | 300 | 0 | 758 | 0 | -10.0% | -64.4% |
| Provisions for employee benefits | 1,115 | 1,115 | 1,115 | 758 | 300 | 758 | 0.0% | 271.7% |
| Deferred tax liability | 6,280 | 6,206 | 5,498 | 3,856 | 7,930 | 3,410 | 14.2% | -20.8% |
| Deferred revenue | 75 | 81 | 87 | 59 | 63 | 67 | -13.8% | 19.0% |
| **Total non-current liabilities** | **516,285** | **494,839** | **459,378** | **441,398** | **408,214** | **374,245** | **12.4%** | **26.5%** |
| Trade and other payables | 585,043 | 531,859 | 574,426 | 369,961 | 374,526 | 367,473 | 1.8% | 56.2% |
| Current part of interest-bearing loans and borrowings and finance lease liabilities | 124,875 | 112,531 | 110,173 | 237,514 | 199,276 | 178,255 | 13.3% | -37.3% |
| Income tax liabilities | 15,530 | 4,241 | 10,268 | 3,089 | 3,439 | 7 | 51.2% | 351.6% |
| Deferred revenue | 18,338 | 14,831 | 13,227 | 11,322 | 11,431 | 10,676 | 38.6% | 60.4% |
| Provisions for employee benefits and other provisions | 226 | 7,840 | 5,892 | 72 | 72 | 72 | -96.2% | 213.9% |
| **Total current liabilities** | **744,012** | **671,302** | **713,986** | **621,958** | **588,744** | **556,483** | **4.2%** | **26.4%** |
| **Total liabilities** | **1,260,297** | **1,166,141** | **1,173,364** | **1,063,356** | **996,958** | **930,728** | **7.4%** | **26.4%** |
| **TOTAL EQUITY AND LIABILITIES** | **2,028,415** | **1,880,103** | **1,856,840** | **1,708,862** | **1,590,507** | **1,486,381** | **9.2%** | **27.5%** |

As at 30 June 2017, the main components of liabilities were: (i) trade and other payables (current portion) representing 46.4%; (ii) interest bearing loans, borrowings and liabilities under finance lease liabilities (non-current portion) representing 40.4% and (iii) the current portion of interest-bearing loans and liabilities under financial lease agreements representing 9.9%.

Total liabilities increased by PLN 86.9 million, i.e. 7.4%, from PLN 1,173.4 million as at 31 December 2016 to PLN 1,260.3 million as at 30 June 2017. Total liabilities rose PLN 263.3 million, i.e. 26.4% from PLN 997.0 million as at 30 June 2016 to PLN 1,260.3 million as at 30 June 2017.

Non-current liabilities increased by PLN 56.9 million, or 12.4%, from PLN 459.4 million as at 31 December 2016 to PLN 516.3 million as at 30 June 2017, predominantly as a result of higher interest-bearing loans and borrowings and liabilities under finance lease liabilities (by PLN 56.2 million) caused by the expansion of the Dino Group's store network.

Compared to 30 June 2016, non-current liabilities rose PLN 108.1 million, or 26.5%, due to the expansion of the Dino Group's store network and the capital expenditures to build the new distribution center in Jastrowie that opened in July 2016 and related capital expenditures that required additional financing.

Current liabilities increased by PLN 30.0 million, or 4.2%, from PLN 714.0 million as at 31 December 2016 to PLN 744.0 million, predominantly as a result of the growth in the current portion of interest-bearing loans and borrowings and finance lease liabilities (by PLN 14.7 million) and the growth in trade and other payables (PLN

10.6 million), resulting from the expansion of the Dino Group's store network and the growing sales in the existing store network (LFL).

Compared to 30 June 2016, current liabilities increased by PLN 155.3 million, or 26.4%, driven predominantly by the increase in trade and other payables (by PLN 210.5 million mainly as a result of the expansion of the Dino Group's scale of business), which was partly counterbalanced by a decrease in current loans and borrowings (by PLN 74.4 million) as a result of the process of replacing short-term loans with long-term loans and improved trading terms.

### Cash flow

| *(PLN 000s)* | Q2 2017 | Q1 2017 | Q4 2016 | Q3 2016 | Q2 2016 | Q1 2016 |
|---|---|---|---|---|---|---|
| Net cash from operating activity | 94,228 | 31,046 | 205,837 | 69,821 | 54,156 | (5,491) |
| Net cash from investing activity | (88,219) | (82,878) | (45,983) | (104,639) | (75,406) | (84,152) |
| Net cash from investing activity | 616 | 21,829 | (136,391) | 53,288 | 31,927 | 69,541 |
| **Net increase in cash and cash equivalents** | **6,625** | **(30,003)** | **23,463** | **18,470** | **10,677** | **(20,102)** |

The Dino Group generated net cash flow from operating activities in H1 2017 totaling PLN 125.3 million. In H1 2016 this cash flow was PLN 48.7 million. The increase in net cash from operating activities was driven mainly by the increased scale of the Dino Group's business, i.e. in other words, chiefly by growing sales revenues ensuing from the roll-out of the store network and the growth in sales revenues in the existing store network (LFL). The growth in sales revenues was higher than the corresponding growth in operating expenses and the related expenditures.

In H1 2017 the Dino Group's cash flow from operating activities was PLN 125.3 million. This amount consists of profit before tax (PLN 96.7 million) and net cash flow totaling PLN 28.6 million. The cash proceeds totaling PLN 79.1 million were primarily due to the following: (i) change in payables, except for loans and borrowings (PLN 13.9 million), (iii) depreciation and amortization (PLN 39.6 million) and (iiii) interest expenses (PLN 18.0 million). The cash proceeds were partially offset by cash expenditures (totaling PLN 50.5 million), that in H1 2017 mainly consisted of the following: (i) change in inventories (PLN 30.4 million), (ii) income tax paid (PLN 9.2 million) and (iii) change in provisions (PLN 5.7 million) and receivables (PLN 3.6 million).

The lower level of cash on financing activity in H1 2017 (PLN 22.4 million) compared to PLN 101.5 million in H1 2016 resulted from lower loan inflows and the higher level of loan amortization.

### 2.1.3. Capital expenditures

In H1 2017 total capital expenditures were PLN 151.2 million and consisted of the following: (i) capital expenditures to roll-out the Dino Group's store network (price to buy real estate and the acquisition related costs, including the costs of the expansion department, the costs of store construction and fit-out and purchases of plant and equipment) (PLN 129.9 million), (ii) capital expenditures for distribution centers (PLN 15.7 million), including capital expenditures for distribution centers in the form of purchasing refrigerated trailers and the purchase of equipment (forklifts) and (iii) capital expenditures to expand and modernize the meat plant run by Agro-Rydzyna (PLN 2.8 million), chiefly to buy meat processing machinery.

In Q2 2017 the Company commenced efforts to buy two plots of land to build its own distribution centers in the Lower Silesia and Łódź (Voivodships) Regions. The plans are to build both distribution centers in 2018, with the planned CAPEX to build them coming in at roughly PLN 120 million. These figures were included in the total capital expenditures of PLN 140 million for distribution centers in 2017-2019 as presented in the prospectus. The distribution center slated to be built in Lower Silesia will support further expansion and growing the density of the Dino store network in this region. The distribution center slated to be built in the Łódź Voivodship will ultimately replace our current leased distribution center in Piotrków Trybunalski because it offers limited possibilities of expansion and it does not have some functionalities (e.g. a frozen storage area).

As at 30 June 2017, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing roll-out of the Dino Group's store network. The total figure was PLN 72,626 thousand.

### 2.1.4. Factors that will affect Dino's business and financial performance

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business until the end of 2017:

- pace at which the Dino Group opens new stores and the accompanying capital expenditures,
- Poland's favorable macroeconomic situation, resulting in higher disposable income and consumer spending, and changes in the consumer price index,
- recent changes in the regulatory environment: the minimum wage hike and the continuation of the Family 500+ government program translating into additional disposable income for consumers,
- the Company's improving operational efficiency, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,
- downward trend in unemployment coupled with the unstable and uncertain situation on the labor market in various regions of the country;

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

### 2.1.5. Threats and risks related to the other months of the year

#### *The challenging situation on the labor market may unfavorable affect the Dino Group's operations*

The Dino Group operates in a sector featuring a relatively high employee turnover ratio. The declining level of unemployment in Poland accompanied by the high level of competition for store employees among entities operating in the retail trade sector may contribute to the Dino Group losing more employees and problems with sourcing new employees. In addition, the aforementioned factors may contribute to greater wage inflation pressure.

The above circumstances may have an adverse effect on the Dino Group's activity, its financial standing, performance or outlook as well as the Company's stock price.

#### *Changes in the overall economic situation that are beyond the control of the Dino Group may result in lower consumer demand that may adversely affect the Dino Group's business.*

The Dino Group operates on the retail grocery market in Poland that is dependent on demand generated by consumers. Consumer demand is affected by numerous factors that are beyond Dino Group's control, especially the macroeconomic situation and political conditions. Movements in economic market factors in Poland, in the EU or globally, including change in GDP growth rates, overall inflation, deflation of food prices, elevated unemployment rate, possible decline in salaries or decline in consumption and investment spending, may adversely affect the Dino Group or the sector in which the Dino Group operates, including the revenue generated by the Dino Group or the expenses it incurs.

Deterioration of the overall economic situation in Poland and in Europe driven by the above economic or political factors or reduction of Poland's rating, which has occurred in the past, may adversely affect the Dino Group's activity, financial standing, performance or outlook as well as the Company's stock price. The factors listed above may precipitate, among others, lower demand for Dino Group's products, reduced access to external financing, difficulties for suppliers, customers and other entities cooperating with the Dino Group, that in turn may hinder or impede them from performing their obligations to the Dino Group and consequently have an adverse effect on the Dino Group's activity, financial standing, performance or outlook as well as the Company's stock price.

### *The Dino Group may fail to execute its store rollout strategy*

The Dino Group strategy calls for, among others, further growth by continuing its rapid organic rollout of its store network. The successful implementation of the Dino Group's growth strategy is conditional upon, among others, economic conditions, access to external financing, absence of adverse changes in the regulatory environment, finding and buying (or to a lesser extent, in supplementary capacity, leasing or hiring) properties that meet Dino Group's requirements, efficient construction and opening of new stores, recruiting, training and retaining store personnel and also integrating new stores with the supply network in place in the Dino Group in a way that ensures the highest possible profitability.

Even if the Dino Group succeeds in opening new stores in accordance with the strategy, the newly-opened stores may not be able to achieve profitability in the initially assumed period or not achieve it at all, or the increase in revenue or revenue in the existing store chain (LFL) may prove to be lower than assumed by the Management Board; the Dino Group may also be exposed to unexpected additional store opening costs. Additionally, the analysis conducted by the Dino Group preceding the opening of any individual store may prove to be incorrect, among others because of lower than expected customer traffic in the vicinity of the store or other unexpected circumstances.

The above circumstances, if they occur, may have an adverse effect on the Dino Group's activity, financial standing, performance or outlook as well as the Company's stock price.

### *The market on which the Dino Group operates is characterized by fierce competition and competitive pressures may exert an adverse influence on margins or growth outlook*

The market on which the Dino Group operates is characterized by fierce competition because of the presence and constant development of large, organized retail chains, including supermarkets, discount chains and convenience stores that frequently operate on a scale greater than the magnitude of the Dino Group's business. There is no certainty that the Dino Group will be able to compete effectively with its current or future competitors, especially in terms of pricing and promotions and the offered assortment, which could lead to deceleration in the Dino Group's pace of growth, stagnation or constriction in the Dino Group's market share and reduction in its profitability. As a result, this may have an adverse effect on the Dino Group's activity, its financial standing and performance as well as the Company's stock price.

### *Unclear interpretation of the provisions of Polish law or a change in regulations may exert an adverse impact on the Dino Group*

Dino Group's business is subject to numerous regulations in Poland (among others, in terms of food production, fire protection and safety, labor and environmental regulations). If the Dino Group's business does not comply with those requirements, it may be obligated to pay fines, charges or compensation prescribed by the applicable regulations; it may even be obligated to suspend a portion of its operations.

Additionally, a significant number of laws and regulations of importance for Dino Group's business was and may also be subject to change in the future (e.g. introduction of restrictions on the sale of tobacco products). Accordingly, there is no assurance that the regulations applicable to the Dino Group's business, in particular environmental, health and safety regulations or trade restrictions in Poland and in the EU, will not become more stringent. In particular, in the past Poland has considered the possibility of introducing regulations restricting sales on Sundays in stores of the kind operated by the Dino Group. Even though in H1 2017 Sundays had the lowest contribution to the Dino Group's weekly revenue, the possible introduction of such restrictions in Poland may cause a significant decline in the Dino Group's revenue and demand that would not be covered by the possible reduction of operating expenses (including employment costs) and possible higher demand on other days of the week.

The lack of stability in the legal system and in the regulatory environment exacerbates the risk of incurring significant additional unexpected costs and the costs of adapting the Dino Group's operations to the changing legal environment, and this may adversely affect the Dino Group's activity, its financial standing, outlook and performance or its stock price.

### *Changes in tax law or tax rulings applicable to the Dino Group's operations or changes in individual tax rulings may exert an adverse impact on the Dino Group*

The provisions of Polish tax law are complicated and change frequently. The practice of applying the tax law by tax authorities is not consistent, while the jurisprudence of administrative courts in this respect exhibits material differences. There is no assurance that tax authorities will refrain from issuing a different ruling unfavorable to the Company or Dino Group Companies, of the tax regulations applied by the Company or Dino Group Companies.

Also, there is a risk that if new regulations are adopted, a new retail sales tax is introduced or VAT is raised, the Company or Dino Group Companies will have to undertake adaptive efforts, that may lead to considerable expenses caused by the circumstances of adapting to the new regulations or may potentially suffer a decline in the level of Dino Group's sales and revenue (if VAT is raised). Accordingly, the tax authorities may challenge the correctness of tax settlements made by the Company or Dino Group Companies in respect of tax liabilities for which the limitation period has not expired and unpaid tax liabilities may be determined for those entities, that will adversely affect the Dino Group's activities, its financial standing, performance and its stock price.

## 2.2. Company's shareholders and shares held by senior management

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The Company does not have shares awarding any special control rights. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Shares. At the turn of March and April 2017, the initial public offering of Dino's shares took place (based on the prospectus approved by the Polish Financial Supervision Authority on 17 March 2017) as a result of which the shareholder Polish Sigma Group S.à r.l. sold all the shares it held representing 49% of the Company's share capital and entitling it to 49% of the total number of votes at the Shareholder Meeting. The Company did not issue any new shares in the IPO.

***Shareholding structure of Dino Polska S.A. as at the Report Date***

| | Number of shares and number of votes at the Shareholder Meeting | The percentage of share capital and voting rights in the Shareholder Meeting |
|---|---|---|
| Tomasz Biernacki with a subsidiary[6] ......................... | 50,030,000 | 51.03% |
| Other shareholders.............................................................. | 48,010,000 | 48.97% |

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 140,904 shares acquired in the Company's IPO. At the Report Date, Michał Krauze, a Management Board Member, held 29,346 shares acquired in the Company's IPO. As of the date of conveying the periodic report for Q1 2017, no changes have transpired in the number of Dino Polska shares held by the Company's Management Board members.

Among the Supervisory Board members, at the Report Date, Dino shares were held by Tomasz Biernacki (Supervisory Board Chairman) as stated in the table above and Eryk Bajer (Supervisory Board Member) - 5,822 shares acquired in the IPO.

On 20 March 2017, in connection with the public offering of Shares, Mr. Tomasz Biernacki undertook a lock-up obligation not to sell Dino Polska shared until the end of 720 days from the date of the first listing of the Shares on WSE, that is 19 April 2017. Furthermore, the Company undertook to refrain from issuing and offering shares until the end of the period of 360 days from the date of the first listing of Dino Shares on the Warsaw Stock Exchange. In accordance with the provisions of the applicable incentive programs, those Members of the Company's Management Board who acquired Dino Shares in the performance of their obligation to acquire the Shares specified in these programs, are required to refrain from selling those Shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

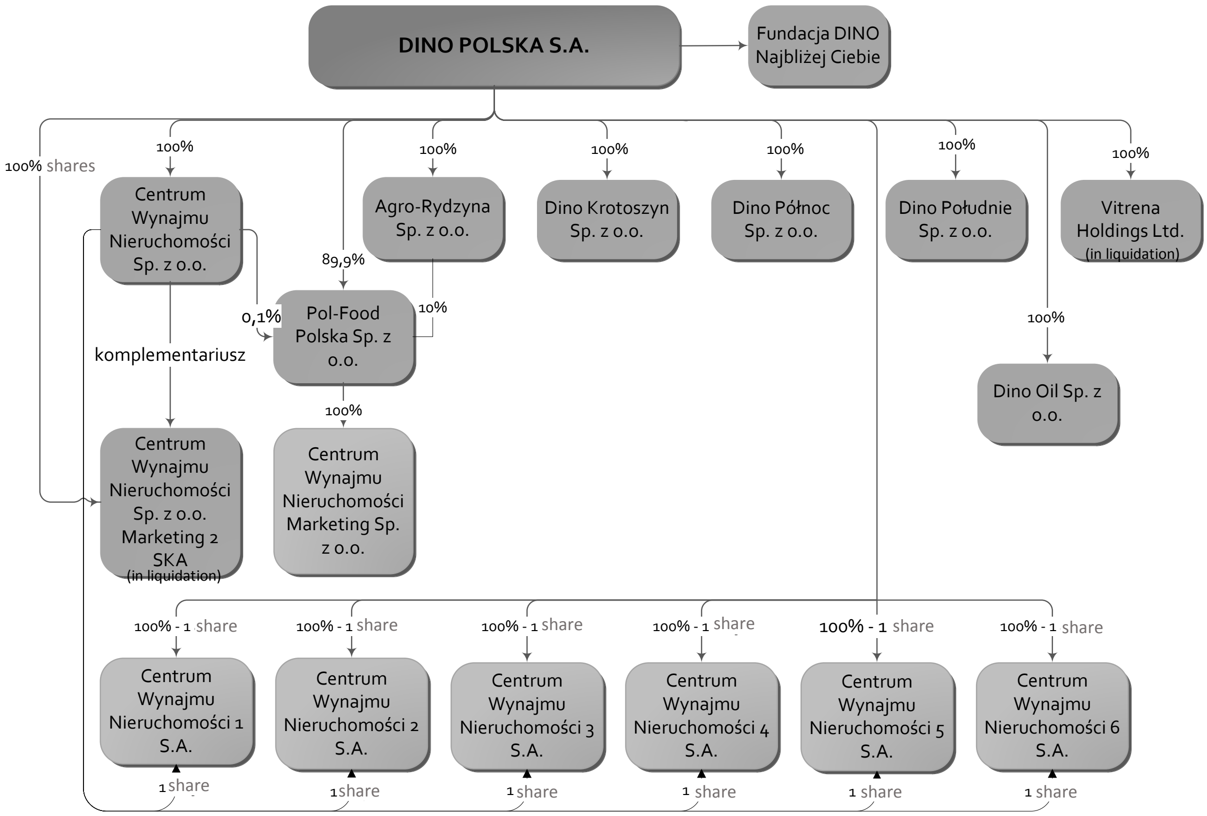
[6] On 26 July 2017, BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, purchased 30 thousand shares of Dino Polska on WSE

## 2.3. Group overview and description of changes in organization

The Company is the parent entity of the Dino Group. The company conducts operations involving the management of the Dino store network. The Company manages, among others, the logistics of supply of products to the stores, sales, selection of the product offering in the stores and supports other Group Companies in the execution of investment processes related to the selection and purchase of land on which new stores will be built and also manages the new store construction process itself. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from other Group Companies that own the properties.

Within the Dino Group, there is a large number of companies involved in leasing properties. The functioning of companies purchasing and leasing properties in the Dino Group is a result of the accepted business model. The Dino Group has made a strategic decision to purchase the land on which its stores are located, among others in order to ensure quick organic growth in the number of stores, to maintain a uniform format of stores in all locations, develop the “Dino” brand image as perceived by customers and enhance cost efficiency.

The Group consists of Dino Polska S.A. and the following subsidiaries:




On 19 May 2016, the Extraordinary Shareholder Meeting of Centrum Wynajmu Nieruchomości Marketing sp. z o.o. (a Dino Group company) adopted a resolution to retire the company’s shares and reduce its share capital from PLN 169,200.00 to PLN 5,000.00. This change was registered by the National Court Register on 17 February 2017.

On 26 June 2017, the Regional Court in Warsaw handed down a decision to remove the company Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation from the register.

As at 30 June 2017 and as of the Date of the Report, the Dino Management Board consists of two members: Szymon Piduch, President of the Management Board and Michał Krauze, Management Board Member. No other changes to the Management Board composition took place in H1 2017 or up to the Date of the Report.

As of the Date of the Report, the Dino Supervisory Board consists of six members. Compared to 31 March 2017, its composition diminished by two persons: Michał Rusiecki and Michał Kędzie tendered resignations from their functions on 20 April 2017. No other changes to the Supervisory Board composition took place in H1 2017 or up to the Date of the Report.

## 2.4. Other information

### *Non-recurring amounts and events*

In the period from 1 January 2017 to 30 June 2017, the financial performance of the Dino Group was affected by the costs related to the public offering of the Company's shares conducted at the turn of March and April 2017. The total costs were PLN 12,272 thousand in H1 2017 (PLN 2,961 thousand in Q1 and PLN 9,311 thousand in Q2) of which PLN 7.5 million constituted a non-cash expense causing no working capital outflow from the Group, which in the balance sheet was reflected by an equity increase related to the incentive program funded by the selling shareholder for the Company's Management Board in the IPO.

In addition, in connection with its IPO, the company incurred the following costs in 2016: PLN 1,105 thousand in Q2 2016, PLN 2,692 thousand in Q3 2016 and PLN 3,703 thousand in Q4 2016.

### *Position of the Management Board on possibility of achieving the previously published financial performance forecasts*

The Company's Management Board has not published any forecasts for 2017.

### *Proceedings pending before courts or other bodies appropriate for relevant proceedings*

According to the Company's best knowledge, there are no current proceedings pending before a body with jurisdiction over administrative proceedings or a public administration authority in regard to payables or receivables of Dino Polska or its subsidiaries whose value is equal to or greater than 10% of the Company's equity.

### *Information on related party transactions*

No related party transactions transpired in the reporting period on conditions other than on an arm's length basis. Information on related party transactions is set forth in note 21 to the interim condensed consolidated financial statements of Dino Polska for H1 2017.

### *Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary*

No events covered by this item occurred in the reporting period.

### *Other information that can materially affect the assessment of the issuer's assets, financial position and financial result*

No material events occurred in the reporting period other than described in this Report and the interim condensed consolidated financial statements of Dino Polska for the 6 month period ended 30 June 2017 that could considerably affect the assessment of the Group's assets, financial position and financial result.

### *Rules for preparing the interim condensed consolidated financial statements*

The interim condensed consolidated financial statements have been drawn up in compliance with International Accounting Standard 34 Interim Financial Reporting approved by the EU ("IAS 34"). The interim condensed consolidated financial statements do not include all information and disclosures required in the annual financial statements and they should be read along with the consolidated financial statements of the Group for the year ended 31 December 2016 approved for publication on 24 February 2017.

The interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), and all figures, unless stated otherwise, are expressed in thousands of PLN.

The interim condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Viterna Holdings Ltd. in liquidation.

As at 30 June 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the number of stores opened. Conditions precedent related to the loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2017, the terms and conditions of the loan agreements have not been breached and additionally the Management Board believes that there is no risk that the banks may terminate those agreements within 12 months of the balance sheet date of 30 June 2017. As at the date of approval of the consolidated financial statements, no circumstances have been found suggesting a threat to the continued operation of the Group's companies.

## 3. Management Board's Statements

**Management Board's Statement**

The Management Board of the Dino Polska S.A. declares that the registered audit firm performing the review of the Interim Condensed Financial Statements of the Dino Polska S.A. for the 6-months period ended 30 June 2017 and Condensed Consolidated Financial Statements of the Dino Polska S.A. Group for the 6-months period ended 30 June 2017 has been appointed pursuant to the binding regulations. The audit firm and the certified auditors performing the audit meet the requirements necessary for issuing an objective and independent review report audit opinion on the standalone and consolidated financial statements, pursuant to the binding provisions of the law and professional standards.

| Szymon Piduch | Michał Krauze |
|---|---|
| President of the Management Board | Member of the Management Board |

Krotoszyn, 29 August 2017

**Management Board's Statement**

The Management Board of the Dino Polska S.A. declares to the best of its knowledge that:

- Interim Condensed Financial Statements of the Dino Polska S.A. for the 6-months period ended 30 June 2017, including comparative information, have been prepared in accordance with the binding accounting policies and that these give a true, fair and clear view of the financial position and results of the Dino Polska S.A.,

- Condensed Consolidated Financial Statements of the Dino Polska S.A. Group for the 6-months period ended 30 June 2017, including comparative information, have been prepared in accordance with the binding accounting policies and that these give a true, fair and clear view of the financial position and results of the Dino Polska S.A. Group,

- The Consolidated report on the activities of the Dino Polska S.A. Group for the six-month period ended 30 June 2017 gives the true view of the Dino Polska S.A. and Dino Polska S.A. Group development, achievements and situation, including the main threats and risks.

| Szymon Piduch | Michał Krauze |
|---|---|
| President of the Management Board | Member of the Management Board |

Krotoszyn, 29 August 2017

# 4. APPENDICES

## 4.1. Interim condensed consolidated financial statements for the 6 months ended 30 June 2017

## 4.2. Interim financial statements for the 6 months ended 30 June 2017

## 4.3. Auditor's report on review of financial statements

*DINO POLSKA S.A. GROUP*

**INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS**
**FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2017**
**WITH THE INDEPENDENT AUDITOR'S REVIEW REPORT**

*Table of contents*

# FINANCIAL HIGHLIGHTS

| | ***PLN 000s*** | | ***EUR 000s**** | |
|---|---|---|---|---|
| | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** |
| Revenue | 2,018,398 | 1,533,469 | 472,648 | 351,206 |
| Operating profit | 114,372 | 90,528 | 26,783 | 20,733 |
| Profit before tax | 96,659 | 75,435 | 22,635 | 17,277 |
| Net profit | 77,142 | 61,283 | 18,064 | 14,035 |
| Number of shares | 98,040,000 | 98,040,000 | 98,040,000 | 98,040,000 |
| Basic / diluted EPS in PLN, EUR | 0.79 | 0.63 | 0.18 | 0.14 |
| Cash flow from operating activities | 125,274 | 48,665 | 29,335 | 11,146 |
| Cash flow from investing activities | (171,097) | (159,558) | (40,066) | (36,543) |
| Cash flow from financing activities | 22,445 | 101,468 | 5,256 | 23,239 |
| Net movement in cash and cash equivalents | (23,378) | (9,425) | (5,474) | (2,159) |

* In the case of data in EUR, the average EUR/PLN exchange rate in the period, as published by the National Bank of Poland, was used:

- average NBP exchange rate for H1 2017: 4.2704 PLN/EUR;
- average NBP exchange rate for H1 2016: 4.3663 PLN/EUR.

| | ***PLN 000s*** | | ***EUR 000s**** | |
|---|---|---|---|---|
| | ***as at 30 June 2017*** | ***as at 31 December 2016*** | ***as at 30 June 2017*** | ***as at 31 December 2016*** |
| Total assets | 2,028,415 | 1,856,840 | 479,928 | 419,720 |
| Total non-current assets | 1,612,320 | 1,457,146 | 381,479 | 329,373 |
| Total current assets | 416,095 | 399,694 | 98,449 | 90,347 |
| Equity | 768,118 | 683,476 | 181,739 | 154,493 |
| Share capital | 9,804 | 9,804 | 2,320 | 2,216 |
| Non-current liabilities | 516,285 | 459,378 | 122,154 | 103,838 |
| Current liabilities | 744,012 | 713,986 | 176,035 | 161,389 |

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- average NBP exchange rate as at 30 June 2017: 4.2265 PLN/EUR;
- average NBP exchange rate as at 31 December 2016: 4.4240 PLN/EUR.

(in thousands of PLN)

# INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS

| | | *6-month period ended* | | *3-month period ended* | |
|---|---|---|---|---|---|
| | *Note* | *30 June 2017 (unaudited)* | *30 June 2016 (unaudited)* | *30 June 2017 (unaudited)* | *30 June 2016 (unaudited)* |
| **Continuing operations** | | | | | |
| **Revenue** | 7 | **2,018,398** | **1,533,469** | **1,108,063** | **826,106** |
| Cost of sales | 9.1 | (1,560,059) | (1,187,827) | (858,315) | (640,102) |
| **Gross profit on sales** | | **458,339** | **345,642** | **249,748** | **186,004** |
| Other operating income | 9.2 | 1,212 | 1,396 | 736 | 374 |
| Sales and marketing expenses | 9.1 | (310,471) | (236,315) | (160,725) | (123,030) |
| Overhead | 9.1 | (34,320) | (19,864) | (21,417) | (11,261) |
| Other operating expenses | 9.3 | (388) | (331) | (292) | (137) |
| **Operating profit** | | **114,372** | **90,528** | **68,050** | **51,950** |
| Finance income | 9.4 | 140 | 27 | 42 | (7) |
| Finance costs | 9.5 | (17,853) | (15,120) | (9,438) | (7,351) |
| **Profit before tax** | | **96,659** | **75,435** | **58,654** | **44,592** |
| Income tax | 10 | (19,517) | (14,152) | (11,967) | (6,696) |
| **Net profit on continuing operations** | | **77,142** | **61,283** | **46,687** | **37,896** |
| **Net profit for the financial year** | | **77,142** | **61,283** | **46,687** | **37,896** |
| Profit attributable to: | | | | | |
| Owners of the parent | | 77,142 | 61,283 | 46,687 | 37,896 |
| Earnings per share: | | | | | |
| – basic, from the profit attributable to owners of the parent | | 0.79 | 0.63 | 0.48 | 0.39 |
| – basic, from the profit on continuing operations attributable to owners of the parent | | 0.79 | 0.63 | 0.48 | 0.39 |
| – diluted, from the profit attributable to owners of the parent | | 0.79 | 0.63 | 0.48 | 0.39 |
| – diluted, from the profit on continuing operations attributable to owners of the parent | | 0.79 | 0.63 | 0.48 | 0.39 |

(in thousands of PLN)

# INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

| | *6-month period ended* | | *3-month period ended* | |
|---|---|---|---|---|
| | *30 June 2017 (unaudited)* | *30 June 2016 (unaudited)* | *30 June 2017 (unaudited)* | *30 June 2016 (unaudited)* |
| **Net profit for the financial year** | **77,142** | **61,283** | **46,687** | **37,896** |
| *Items not subject to reclassification to profit in subsequent reporting periods:* | | | | |
| Actuarial gains/(losses) on defined benefit plans | - | 38 | (38) | - |
| Income tax on other comprehensive income | - | (7) | 7 | - |
| **Other net comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods** | **-** | **31** | **(31)** | **-** |
| **Other net comprehensive income** | **-** | **31** | **(31)** | **-** |
| **COMPREHENSIVE INCOME FOR THE YEAR** | **77,142** | **61,314** | **46,656** | **37,896** |
| Comprehensive income attributable to: | **77,142** | **61,314** | **46,656** | **37,896** |
| Owners of the parent | **-** | **-** | **-** | **-** |
| | **77,142** | **61,314** | **46,656** | **37,896** |

(in thousands of PLN)

# INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

## as at 30 June 2017

| | *Note* | *30 June 2017 (unaudited)* | *31 December 2016* |
|---|---|---|---|
| **ASSETS** | | | |
| Property, plant and equipment | 11 | 1,496,962 | 1,337,207 |
| Intangible assets | 12 | 92,200 | 93,072 |
| Other non-financial assets (non-current) | | - | - |
| Deferred tax assets | 10 | 23,158 | 26,867 |
| **Total non-current assets** | | **1,612,320** | **1,457,146** |
| Inventories | | 306,906 | 276,541 |
| Trade and other receivables | | 29,253 | 33,665 |
| Income tax receivables | | 30 | 613 |
| Other non-financial assets | 14 | 36,856 | 22,447 |
| Cash and cash equivalents | | 43,050 | 66,428 |
| **Total current assets** | | **416,095** | **399,694** |
| **TOTAL ASSETS** | | **2,028,415** | **1,856,840** |
| **EQUITY AND LIABILITIES** | | | |
| **Equity (attributable to owners of the parent)** | | **768,118** | **683,476** |
| Share capital | | 9,804 | 9,804 |
| Supplementary capital | | 1,111,860 | 510,720 |
| Retained earnings | | (361,046) | 162,952 |
| Other equity | 17.7 | 7,500 | - |
| **Non-controlling interests** | | - | - |
| **Total equity** | | **768,118** | **683,476** |
| Interest-bearing loans and borrowings and finance lease liabilities | 16 | 508,545 | 452,378 |
| Other liabilities | | 270 | 300 |
| Provisions for employee benefits | 15 | 1,115 | 1,115 |
| Deferred tax liability | 10 | 6,280 | 5,498 |
| Deferred revenue | | 75 | 87 |
| **Total non-current liabilities** | | **516,285** | **459,378** |
| Trade and other payables | | 585,043 | 574,426 |
| Current part of interest-bearing loans and borrowings and finance lease liabilities | 16 | 124,875 | 110,173 |
| Income tax liabilities | | 15,530 | 10,268 |
| Deferred revenue | | 18,338 | 13,227 |
| Provisions for employee benefits | 15 | 226 | 5,892 |
| **Total current liabilities** | | **744,012** | **713,986** |
| **Total liabilities** | | **1,260,297** | **1,173,364** |
| **TOTAL EQUITY AND LIABILITIES** | | **2,028,415** | **1,856,840** |

(in thousands of PLN)

# INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

## for the 6-month period ended 30 June 2017

| | *Note* | *30 June 2017 (unaudited)* | *30 June 2016 (unaudited)* |
|---|---|---|---|
| **Cash flow from operating activities** | | | |
| Profit before tax | | 96,659 | 75,435 |
| Adjustments for: | | 28,615 | (26,770) |
| Depreciation and amortization | | 39,594 | 29,410 |
| (Profit)/loss on investing activity | | 179 | 56 |
| Movement in receivables | 17.6 | (3,614) | 6,784 |
| Movement in inventories | | (30,364) | (9,126) |
| Movement in liabilities, except for loans and borrowings | 17.6 | 13,878 | (61,907) |
| Interest income | | (38) | (27) |
| Interest expenses | | 17,987 | 14,868 |
| Movement in prepayments and deferred revenue | | (1,660) | (1,772) |
| Change in the balance of provisions | | (5,667) | - |
| Income tax paid | | (9,180) | (5,094) |
| Other | 17.6 | 7,500 | 38 |
| **Net cash from operating activity** | | **125,274** | **48,665** |
| **Cash flow from investing activities** | | | |
| Sale of property, plant and equipment and intangible assets | | 1,136 | (805) |
| Purchase of property, plant and equipment and intangible assets | | (172,271) | (158,780) |
| Interest received | | 38 | 27 |
| **Net cash from investing activity** | | **(171,097)** | **(159,558)** |
| **Cash flow from financing activities** | | | |
| Payments of finance lease liabilities | | (24,533) | (20,470) |
| Proceeds from obtained loans/borrowings | | 98,882 | 161,172 |
| Repayment of loans/borrowings | | (33,917) | (24,366) |
| Interest paid | | (17,987) | (14,868) |
| **Net cash provided by (used in) financing activities** | | **22,445** | **101,468** |
| Net increase in cash and cash equivalents | | (23,378) | (9,425) |
| **Cash at the beginning of the period** | | **66,428** | **33,920** |
| **Cash at the end of the period** | **17.6** | **43,050** | **24,495** |

(in thousands of PLN)

# INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

## for the 6-month period ended 30 June 2017

| | *Attributable to owners of the parent* | | | | |
|---|---|---|---|---|---|
| | *Share capital* | *Supplementary capital* | *Retained earnings* | *Other equity* | *Total* |
| **As at 1 January 2017** | **9,804** | **510,720** | **162,952** | **-** | **683,476** |
| Net profit for 2017 | - | - | 77,142 | - | 77,142 |
| Other net comprehensive income for 2017 | - | - | - | - | - |
| *Comprehensive income for the year* | - | - | *77,142* | - | *77,142* |
| Costs of the incentive system payable in the form of shares | - | - | - | 7,500 | 7,500 |
| Distribution of the financial result for 2016 | - | 601,140 | (601,140) | - | - |
| **As at 30 June 2017** | **9,804** | **1,111,860** | **(361,046)** | **7,500** | **768,118** |
| **As at 1 January 2016** | **9,804** | **393,019** | **129,412** | **-** | **532,235** |
| Net profit for 2016 | - | - | 151,210 | - | 151,210 |
| Other net comprehensive income for 2016 | - | - | 31 | - | 31 |
| *Comprehensive income for the year* | - | - | *151,241* | - | *151,241* |
| Distribution of the financial result for 2015 | - | 117,701 | (117,701) | - | - |
| **As at 31 December 2016** | **9,804** | **510,720** | **162,952** | **-** | **683,476** |
| **As at 1 January 2016** | **9,804** | **393,019** | **129,412** | **-** | **532,235** |
| Net profit for 2016 | - | - | 61,283 | - | 61,283 |
| Other net comprehensive income for 2016 | - | - | 31 | - | 31 |
| *Comprehensive income for the year* | - | - | *61,314* | - | *61,314* |
| Distribution of the financial result for 2015 | - | 117,701 | (117,701) | - | - |
| **As at 30 June 2016** | **9,804** | **510,720** | **73,025** | **-** | **593,549** |

# ADDITIONAL EXPLANATORY NOTES

## 1. General information

The Dino Polska S.A. Group ("Group") consists of Dino Polska S.A. ("parent company", "Company") and its subsidiaries. The Group's interim condensed consolidated financial statements cover the 6-month period ended 30 June 2017 and contain comparative data for the 6-month period ended 30 June 2016 and as at 31 December 2016.

The parent company was entered in the register of commercial undertakings in the National Court Register kept by the District Court for Poznań Nowe Miasto and Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The parent company has been given the following statistical number: REGON 300820828.

The duration of the parent company and of the units comprising the Group is indefinite.

The Group's core business is retail sale in non-specialized shops, of predominantly food, drinks and tobacco products. Additionally, the Group produces meat products that are sold to external customers through the retail chain.

These interim condensed consolidated financial statements for the 6-month period ended 30 June 2017 were approved for publication by the Management Board on 29 August 2017.

The interim financial result may not be fully representative of the financial result that may potentially be achieved for the full financial year.

## 2. Changes in the composition of the Group

On 19 May 2016, the Extraordinary Shareholder Meeting of Centrum Wynajmu Nieruchomości Marketing sp. z o.o. (a Dino Group company) adopted a resolution to retire the company's shares and reduce its share capital from PLN 169,200.00 to PLN 5,000.00. This change was registered by the National Court Register on 17 February 2017.

On 26 June 2017, the Regional Court in Warsaw handed down a decision to remove the company Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation from the register.

## 3. Basis for drawing up the interim condensed consolidated financial statements

These interim condensed consolidated financial statements have been drawn up in compliance with International Accounting Standard 34 *Interim Financial Reporting* approved by the EU ("IAS 34").

The interim condensed consolidated financial statements do not include all information and disclosures required in the annual financial statements and they should be read along with the consolidated financial statements of the Group for the year ended 31 December 2016 approved for publication on 24 February 2017.

These interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), and all figures, unless stated otherwise, are expressed in thousands of PLN.

These interim condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Viterna Holdings Ltd. in liquidation.

As at 30 June 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the number of stores opened. Conditions precedent related to the loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2017, the terms and conditions of the loan agreements have not been breached and additionally the Management Board believes that there is no risk that the banks may terminate those agreements within 12 months of the balance sheet date of

30 June 2017. As at the approval date of these consolidated financial statements there is no evidence indicating uncertainty as to the ability of the Group companies to continue their business activities as a going concern.

# 4. Significant accounting policies

The accounting policies used to draw up these interim condensed consolidated financial statements are consistent with those used to draw up the Group's annual consolidated financial statements for the financial year started 1 January 2016. After 1 January 2017, no new or amended standards and interpretations applicable to annual periods beginning after 1 January 2017 were published. The standards and interpretations, which have been issued but are not applicable since they had not been approved by the European Union or had been approved by the European Union but not applied by the Group earlier were presented in the annual financial statements for 2016. The only standard published in the first half of 2017 was IFRS 17 *Insurance Contracts*.

The Management Board does not expect the introduction of the above standards and interpretations to have significant impact on the accounting policies used by the Group.

The Group has not elected the early application of any standard, interpretation or amendment already published but not yet effective in light of the European Union regulations.

The Management Board is still analyzing the impact of new standards, i.e. IFRS 9 *Financial Instruments*, IFRS 15 *Revenue from Contracts with Customers* and IFRS 16 *Leases.* As at the date of these financial statements, a detailed analysis of the impact of those standards has not been completed; nevertheless a preliminary evaluation indicates that, except for IFRS 16, the impact of those standards on the Group's financial statements will be negligible.

# 5. Changes in estimates and error corrections

In the 6-month period ended 30 June 2017, no changes in estimates and no error corrections were made as compared to 31 December 2016.

# 6. Seasonality of business

The revenue and financial results posted in individual quarters reflect the seasonality of sales. The Group achieves higher revenue on sales in periods near the holidays and in the Summer. Additionally, Dino Group's revenue depends on the number of new stores being opened; in the winter periods, in particular in the first quarter of the year, because of the weather conditions restricting the possibility of conducting construction work, such number is lower than in the remaining quarters of the year, in particular than in the 3rd and 4th quarters.

# 7. Segment information

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenue may be broken down by the type of products or goods or by product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, the information on revenue generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(in thousands of PLN)

| | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| Revenue on sales of products and services | 252,750 | 186,580 |
| Revenue on sales of goods and materials | 1,765,648 | 1,346,889 |
| **Total** | **2,018,398** | **1,533,469** |

Revenue on sales of products consists of revenue earned on sales of meat products manufactured within the Group; while revenue on sales of goods consists of revenue earned on retail sales of goods purchased for resale. The Group has no clients, sales to whom would be greater that 10% of total sales. The entire revenue was generated by the Group domestically.

# 8. Dividends paid and proposed

In the reporting period, the parent company and the subsidiaries did not make dividend payments.

# 9. Income and expenses

## 9.1. Costs by nature

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Depreciation and amortization | 39,594 | 29,410 |
| Consumption of materials and energy | 198,923 | 149,128 |
| External services | 77,409 | 63,305 |
| Taxes and charges | 11,911 | 8,852 |
| Employee benefits | 222,141 | 155,078 |
| Other costs by nature | 7,353 | 7,962 |
| Cost of goods and materials sold | 1,351,500 | 1,032,313 |
| **Total costs by nature, including:** | **1,908,831** | **1,446,048** |
| Items captured in own cost of sales | 1,560,059 | 1,187,827 |
| Items captured in sales and marketing expenses | 310,471 | 236,315 |
| Items captured in overhead costs | 34,320 | 19,864 |
| Movement in products | 3,981 | 2,042 |

## 9.2. Other operating income

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Impairment losses on receivables | 2 | - |
| Subsidies | 128 | 53 |
| Indemnities | 862 | 343 |
| Revenue on timely PIT-4 tax payments | 35 | 24 |
| Other | 185 | 976 |
| **Total other operating income** | **1,212** | **1,396** |

(in thousands of PLN)

## 9.3. Other operating expenses

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Loss arising from theft of merchandise | 131 | 115 |
| Loss on the sale of property, plant and equipment | 179 | 56 |
| Donations | 22 | 31 |
| Other | 56 | 129 |
| **Total other operating expenses** | **388** | **331** |

## 9.4. Finance income

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Interest income from banks | 34 | 27 |
| Interest income on receivables | 5 | - |
| Foreign exchange gains | 92 | - |
| Other | 9 | - |
| **Total finance income** | **140** | **27** |

## 9.5. Finance costs

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Interest on bank loans | 8,240 | 8,251 |
| Interest on trade payables | 6,991 | 4,919 |
| Interest on other payables | 8 | 5 |
| Finance costs under finance leases | 2,287 | 1,570 |
| Foreign exchange losses | - | 191 |
| Commissions | 293 | 184 |
| Other | 34 | - |
| **Total finance costs** | **17,853** | **15,120** |

# 10. Income tax

Reconciliation of income tax calculated on profit/(loss) before tax using the statutory tax rate to income tax calculated according to the Group's effective tax rate is as follows:

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Profit before tax from continuing operations | 96,659 | 75,435 |
| Profit before tax | 96,659 | 75,435 |
| Tax at Poland’s statutory rate of 19% (comparative period: 19%) | (18,365) | (14,333) |
| Investment tax relief on account of operating in a special economic zone | 307 | 276 |
| Tax effect of expenses relating to the incentive system | (1,425) | - |
| Income and expense items that are never taxable or deductible | (34) | (95) |
| Tax at the effective tax rate | (19,517) | (14,152) |
| Income tax (expense) recognized in consolidated profit or loss | (19,517) | (14,152) |

(in thousands of PLN)

Deferred tax results from the following items:

| | *Consolidated statement of financial position* | | *Consolidated statement of profit or loss for the year ended* | |
|---|---|---|---|---|
| | *30 June 2017* | *31 December 2016* | *30 June 2017* | *30 June 2016* |
| *Deferred tax liability* | | | | |
| Temporary difference in the value of fixed assets | 11,420 | 6,412 | 5,008 | 216 |
| Fixed assets in use under a leasing contract | 5,242 | 5,427 | (185) | 289 |
| Prepaid interest on received loans and interest accruing as at the balance sheet date | 3,338 | 3,950 | (612) | 2,164 |
| Provision for deferred revenue | 9,806 | 2,901 | 6,905 | (492) |
| Difference in valuation of inventories | - | - | - | 3,232 |
| Other | - | 5 | (5) | 644 |
| Presentation adjustment | (23,526) | (13,197) | (10,329) | 1,289 |
| Deferred tax liability | **6,280** | **5,498** | | |
| *Deferred tax assets* | | | | |
| Impairment of receivables | 39 | 39 | - | (1) |
| Difference in valuation of inventories | 6,635 | 4,904 | 1,731 | (3,351) |
| Provisions for retirement benefits | 255 | 255 | - | (0) |
| Provision for unused holiday leaves | 3,269 | 2,414 | 855 | 476 |
| Provision for other liabilities (e.g. energy, bonuses, audit of financial statements, license fees) | 5,952 | 2,858 | 3,094 | 1,234 |
| Mandate agreements paid in the following year | 143 | 84 | 59 | 6 |
| ZUS contributions | 2,242 | 1,882 | 360 | 166 |
| Other (including VAT 150 days, withdrawal of 30/90 CIT costs, foreign exchange losses, accrued interest) | 2,429 | 3,163 | (734) | 2,489 |
| Losses deductible from future taxable income | 8,125 | 2,884 | 5,241 | 4,019 |
| Temporary difference in the value of fixed assets | 3,303 | 3,173 | 130 | 114 |
| Relief on the eligible capital expenditures amount while operating in a Special Economic Zone | 4,000 | 4,000 | - | - |
| Prepaid rent | 10,292 | 14,408 | (4,116) | (4,117) |
| Difference in the value of trademarks | - | - | - | (3,880) |
| Presentation adjustment | (23,526) | (13,197) | (10,329) | 1,289 |
| Deferred tax assets | **23,158** | **26,867** | | |
| Deferred tax expense | | | (4,491) | (8,898) |

Details of the transaction and the tax risks were presented in the 2016 consolidated financial statements.

(in thousands of PLN)

# 11. Property, plant and equipment

**6-month period ended 30 June 2017**

| | *Land and buildings* | *Machinery and equipment* | *Means of transport* | *Other fixed assets* | *Construction in progress* | *Total* |
|---|---|---|---|---|---|---|
| **Gross value as at 1 January** | **1,116,955** | **207,081** | **25,458** | **155,795** | **41,306** | **1,546,595** |
| Purchases | - | - | - | - | 199,599 | 199,599 |
| Sales | (398) | - | (239) | (144) | - | (781) |
| Decreases | - | (88) | (238) | (1,955) | (287) | (2,568) |
| Transfer from fixed assets under construction | 103,873 | 24,199 | 11,080 | 12,012 | (151,164) | - |
| **Gross value as at 30 June** | **1,220,430** | **231,192** | **36,061** | **165,708** | **89,458** | **1,742,845** |
| | | | | | | |
| **Accumulated depreciation and impairment losses as at 1 January** | **63,457** | **75,182** | **6,162** | **64,587** | **-** | **209,388** |
| Depreciation charge for the period | 12,129 | 12,323 | 2,459 | 11,473 | - | 38,384 |
| Sales | - | - | (203) | (127) | - | (330) |
| Decreases | - | (45) | (91) | (1,423) | - | (1,559) |
| **Accumulated depreciation and impairment losses as at 30 June** | **75,586** | **87,460** | **8,327** | **74,510** | | **245,883** |
| | | | | | | |
| **Net value as at 1 January** | **1,053,498** | **131,899** | **19,296** | **91,208** | **41,306** | **1,337,207** |
| **Net value as at 30 June** | **1,144,844** | **143,732** | **27,734** | **91,198** | **89,454** | **1,496,962** |

(in thousands of PLN)

**Year ended 31 December 2016**

| | *Land and buildings* | *Machinery and equipment* | *Means of transport* | *Other fixed assets* | *Construction in progress* | *Total* |
|---|---|---|---|---|---|---|
| **Gross value as at 1 January 2016** | **843,752** | **155,286** | **15,149** | **120,746** | **40,488** | **1,175,421** |
| Purchases | - | - | - | - | 379,184 | 379,184 |
| Sales | - | (187) | (624) | (107) | (30) | (948) |
| Liquidation | (654) | (755) | (290) | (4,433) | (930) | (7,062) |
| Transfer from fixed assets under construction | 273,857 | 52,737 | 11,223 | 39,589 | (377,406) | - |
| **Gross value as at 31 December 2016** | **1,116,955** | **207,081** | **25,458** | **155,795** | **41,306** | **1,546,595** |
| **Accumulated depreciation and impairment losses as at 1 January 2016** | **43,853** | **55,370** | **3,505** | **48,494** | **-** | **151,222** |
| Depreciation charge for the period | 19,742 | 20,297 | 3,387 | 19,457 | - | 62,883 |
| Sales | - | (17) | (506) | (6) | - | (529) |
| Decreases | (138) | (468) | (224) | (3,358) | - | (4,188) |
| **Accumulated depreciation and impairment losses as at 31 December 2016** | **63,457** | **75,182** | **6,162** | **64,587** | **-** | **209,388** |
| **Net value as at 1 January 2016** | **799,899** | **99,916** | **11,644** | **72,252** | **40,488** | **1,024,199** |
| **Net value as at 31 December 2016** | **1,053,498** | **131,899** | **19,296** | **91,208** | **41,306** | **1,337,207** |

(in thousands of PLN)

## 12. Intangible assets

**Purchase and sale**

In the 6-month period ended 30 June 2017, the Group acquired intangible assets worth PLN 333 thousand (in 2016: PLN 3,138 thousand).

## 13. Goodwill

No changes in goodwill occurred in the periods ended 30 June 2017 and 31 December 2016. As at 30 June 2017, goodwill was PLN 64,989 thousand (in 2016: PLN 64,989 thousand).

## 14. Other non-financial assets

| | *30 June 2017* | *31 December 2016* |
|---|---|---|
| Receivables from taxes (including VAT, net of CIT) | 29,019 | 21,368 |
| Rental charges | 17 | 10 |
| Insurance | 594 | 665 |
| Other prepayments and accruals | 7,226 | 404 |
| Total | **36,856** | **22,447** |
| - short-term | 36,856 | 22,447 |
| - long-term | - | - |

## 15. Provisions

| | *Pension and disability benefits* | *Other benefits* | *Deferred tax liability* | *Total* |
|---|---|---|---|---|
| **Opening balance as at 1 January 2017 (restated)** | **1,341** | **5,666** | **5,498** | **12,505** |
| Increases | - | - | 782 | 782 |
| Utilization | - | (5,666) | - | (5,666) |
| **Closing balance as at 30 June 2017** | **1,341** | **-** | **6,280** | **7,621** |
| Current provisions | 226 | - | - | 226 |
| Non-current provisions | 1,115 | - | 6,280 | 7,395 |

| | *Pension and disability benefits* | *Other benefits* | *Deferred tax liability* | *Total* |
|---|---|---|---|---|
| **Opening balance as at 1 January 2016** | **830** | **-** | **588** | **1,418** |
| Increases | 567 | 5,666 | 4,910 | **11,143** |
| Utilization | (56) | - | - | **(56)** |
| **Closing balance as at 31 December 2016** | **1,341** | **5,666** | **5,498** | **12,505** |
| Current provisions | 226 | 5,666 | - | 5,892 |
| Non-current provisions | 1,115 | - | 5,498 | 6,613 |

(in thousands of PLN)

# 16. Interest-bearing bank loans and borrowings

| | *30 June 2017* | *31 December 2016* |
|---|---|---|
| **Current** | | |
| Finance lease liabilities | 45,532 | 41,588 |
| Current account overdraft | 6,912 | 1,613 |
| Investment loans | 65,149 | 61,808 |
| Loans to finance the current activity | 6,867 | 4,755 |
| Loan | 415 | 409 |
| | **124,875** | **110,173** |
| **Non-current** | | |
| Finance lease liabilities | 90,472 | 76,788 |
| Investment loans | 389,938 | 354,117 |
| Loans to finance the current activity | 26,869 | 19,998 |
| Loan | 1,266 | 1,475 |
| | **508,545** | **452,378** |

| **Type of liability** | **Date of contract** | **Balance of liability as at 30 June 2017 (PLN 000s)*** | **Interest rate** | **Final maturity** | **Type of security** |
|---|---|---|---|---|---|
| 1. Loan agreement with BPH | 2011-10-21 | 24,052 | WIBOR + margin | 2021-10-20 | joint contractual mortgage, assignment of rights under the insurance policy |
| 2. Loan agreement with mBank | 2013-11-22 | 2,319 | WIBOR + margin | 2023-10-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 3. Loan agreement with mBank | 2012-03-08 | 6,809 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 4. Loan agreement with PKO BP | 2011-04-13 | 2,696 | WIBOR + margin | 2017-10-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 5. Loan agreement with PKO BP | 2011-04-13 | 4,253 | WIBOR + margin | 2021-04-12 | joint contractual mortgage, assignment of rights under the insurance policy |
| 6. Loan agreement with PKO BP | 2013-05-23 | 48,750 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 7. Loan agreement with PKO BP | 2016-10-25 | 59,573 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 8. Debt limit agreement with Raiffeisen | 2011-12-20 | 1,713 | WIBOR + margin | 2018-11-30 | assignment of accounts receivable under card payments |
| 9. Loan agreement with BZ WBK | 2012-07-31 | 23,921 | WIBOR + margin | 2022-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 10. Loan agreement with BZ WBK | 2012-08-31 | 1,081 | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 11. Loan agreement with BZ WBK | 2014-02-20 | 11,601 | WIBOR + margin | 2019-02-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 12. Loan agreement with mBank | 2014-01-09 | 20,105 | WIBOR + margin | 2023-11-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 13. Loan agreement with ING | 2014-04-15 | 41,668 | WIBOR + margin | 2022-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 14. Loan agreement with BPH | 2011-04-20 | 620 | WIBOR + margin | 2017-07-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 15. Loan agreement with Bank Millennium | 2014-12-18 | 11,438 | WIBOR + margin | 2020-06-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 16. Loan agreement with mBank | 2015-04-17 | 19,872 | WIBOR + margin | 2025-03-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 17. Loan agreement with BZ WBK | 2015-02-05 | 21,845 | WIBOR + margin | 2020-01-31 | joint contractual mortgage, assignment of rights under the insurance policy |

(in thousands of PLN)

| | | | | | |
|---|---|---|---|---|---|
| 18. Loan agreement with BZ WBK | 2014-07-31 | 3,425 | WIBOR + margin | 2019-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 19. Loan agreement with mBank | 2009-12-22 | - | WIBOR + margin | 2017-12-07 | joint contractual mortgage, registered pledge on inventories, assignment of rights under the insurance policy |
| 20. Loan agreement with mBank | 2011-12-14 | 4,666 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 21. Loan agreement with BZ WBK | 2014-07-31 | - | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 22. Loan agreement with PKO BP | 2012-08-14 | 10,626 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 23. Loan agreement with ING | 2014-04-15 | 162 | WIBOR + margin | 2018-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 24. Loan agreement with Bank Millennium | 2012-04-27 | 640 | WIBOR + margin | 2018-06-26 | joint contractual mortgage, assignment of rights under the insurance policy |
| 25. Loan agreement with BZ WBK | 2016-05-24 | 29,560 | WIBOR + margin | 2021-04-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 26. Loan agreement with BZ WBK | 2016-09-30 | 19,939 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 27. Loan agreement with mBank | 2016-08-16 | 28,370 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 28. Loan agreement with mBank | 2016-08-16 | 4,527 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 29. Loan agreement with mBank | 2016-04-11 | - | WIBOR + margin | 2017-10-09 | joint contractual mortgage, assignment of rights under the insurance policy |
| 30. Loan agreement with Bank Millennium | 2016-12-05 | 22,297 | WIBOR + margin | 2021-05-11 | joint contractual mortgage, assignment of rights under the insurance policy |
| 31. Loan from Siemens | 2016-02-24 | 1,681 | WIBOR + margin | 2021-02-28 | promissory note |
| 32. Loan agreement with PKO BP | 2016-10-25 | 35,104 | WIBOR + margin | 2025-04-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 33. Loan agreement with ING | 2016-04-15 | 16,317 | WIBOR + margin | 2024-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 34. Loan agreement with ING | 2016-04-15 | 18,748 | WIBOR + margin | 2024-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| **TOTAL** | | **498,378** | | | |

* *Balance of liabilities excluding commissions.*

Additionally liabilities on account of loans and leases are secured by blank promissory notes.

| Type of liability | Date of contract | Balance of liability as at 31 December 2016* (PLN 000s) | Interest rate | Final maturity | Type of security |
|---|---|---|---|---|---|
| 1. Loan agreement with BPH | 2011-10-21 | 27,290 | WIBOR + margin | 2021-10-20 | joint contractual mortgage, assignment of rights under the insurance policy |
| 2. Loan agreement with mBank | 2013-11-22 | 2,502 | WIBOR + margin | 2023-10-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 3. Loan agreement with mBank | 2012-03-08 | 7,565 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 4. Loan agreement with PKO BP | 2012-01-26 | - | WIBOR + margin | 2017-10-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 5. Loan agreement with PKO BP | 2011-04-13 | 4,904 | WIBOR + margin | 2021-04-12 | joint contractual mortgage, assignment of rights under the insurance policy |
| 6. Loan agreement with PKO BP | 2013-05-23 | 55,069 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 7. Loan agreement with PKO BP | 2016-10-25 | 63,682 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 8. Debt limit agreement with Raiffeisen | 2011-12-20 | - | WIBOR + margin | 2018-11-30 | assignment of accounts receivable under card payments |
| 9. Loan agreement with BZ WBK | 2012-07-31 | 26,274 | WIBOR + margin | 2022-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 10. Loan agreement with BZ WBK | 2012-08-31 | 1,159 | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 11. Loan agreement with BZ WBK | 2014-02-20 | 12,366 | WIBOR + margin | 2019-02-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 12. Loan agreement with mBank | 2014-01-09 | 21,698 | WIBOR + margin | 2023-11-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 13. Loan agreement with ING | 2014-04-15 | 45,834 | WIBOR + margin | 2022-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 14. Loan agreement with BPH | 2011-04-20 | - | WIBOR + margin | 2017-07-18 | joint contractual mortgage, assignment of rights under the insurance policy |
| 15. Loan agreement with Bank Millennium | 2014-12-18 | 12,862 | WIBOR + margin | 2020-06-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 16. Loan agreement with mBank | 2015-04-17 | 21,154 | WIBOR + margin | 2025-03-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 17. Loan agreement with BZ WBK | 2015-02-05 | 23,130 | WIBOR + margin | 2020-01-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 18. Loan agreement with BZ WBK | 2014-07-31 | 3875 | WIBOR + margin | 2019-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |

(in thousands of PLN)

| | | | | | |
|---|---|---|---|---|---|
| 19. Loan agreement with mBank | 2009-12-22 | - | WIBOR + margin | 2017-12-07 | joint contractual mortgage, registered pledge on inventories, assignment of rights under the insurance policy |
| 20. Loan agreement with mBank | 2011-12-14 | 5,226 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 21. Loan agreement with BZ WBK | 2014-07-31 | - | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 22. Loan agreement with PKO BP | 2016-10-25 | 11,350 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 23. Loan agreement with ING | 2014-04-15 | 45 | WIBOR + margin | 2018-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 24. Loan agreement with Millennium | 2012-04-27 | 410 | WIBOR + margin | 2017-06-25 | joint contractual mortgage, assignment of rights under the insurance policy |
| 25. Loan agreement with BZ WBK | 2016-05-24 | 30,061 | WIBOR + margin | 2021-04-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 26. Loan agreement with BZ WBK | 2016-09-30 | 19,939 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 27. Loan agreement with mBank | 2016-08-16 | 30,170 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 28. Loan agreement with mBank | 2016-08-16 | 4,785 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 29. Loan agreement with mBank | 2016-04-11 | - | WIBOR + margin | 2017-10-09 | joint contractual mortgage, assignment of rights under the insurance policy |
| 30. Loan agreement with Millennium | 2016-05-12 | 11,890 | WIBOR + margin | 2021-05-11 | joint contractual mortgage, assignment of rights under the insurance policy |
| 31. Loan from Siemens | 2016-02-24 | 1,884 | WIBOR + margin | 2021-02-28 | promissory note |
| **TOTAL** | | **445,124** | | | |

* *Balance of liabilities excluding commissions.*

Additionally liabilities on account of loans and leases are secured by blank promissory notes.

(in thousands of PLN)

# 17. Other major changes

## 17.1. Non-recurring amounts and events

In the period from 1 January 2017 to 30 June 2017, the financial performance of the Dino Group was affected by the costs related to the public offering of the Company's shares, conducted at the turn of March and April 2017. The total amount of those costs in H1 2017 was PLN 12,272 thousand and it was comprised of costs related to the execution of the offering (PLN 1,493 thousand recognized as costs of third party services and PLN 445 thousand as other costs by nature) and costs of the IPO-related incentive system detailed in the Company's prospectus approved by the KNF on 17 March 2017 (PLN 10,334 thousand in costs of employee benefits, of which PLN 7,500 thousand constitutes a non-cash expense related to the incentive program sponsored by the selling shareholder).

## 17.2. Equities

On 18 April 2017, the Management Board of the Warsaw Stock Exchange decided to introduce 98,040,000 series A Company shares with a par value of PLN 0.10 for stock exchange trading on the main floor under the ordinary procedure as of 19 April 2017.

## 17.3. Court disputes

No material litigation was launched in the period from 1 January 2017 to 30 June 2017. By the date of these interim condensed consolidated financial statements, the litigation for damages related to the removal of physical defects in a purchased building and for damages for lost profit, as mentioned in the 2016 consolidated financial statements, was already pending.

## 17.4. Contingent liabilities and contingent assets

As at 30 June 2017, the Group had contingent liabilities arising from the concluded preliminary land purchase agreements in the amount of PLN 124,984 thousand. As at the date of the interim condensed consolidated financial statements, the Group had no contingent liabilities other than those mentioned above and in note 16, or contingent assets described in note 17.3.

## 17.5. Investment commitments

As at the date of the interim condensed consolidated financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group store network. The total figure was PLN 72,626 thousand (as at 31 December 2016: PLN 69,283 thousand)

## 17.6. Cash and cash equivalents

For the purposes of these interim condensed statement of cash flows, cash and cash equivalents are composed of the following items:

| | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Cash at bank and in hand | 26,502 | 15,497 |
| Current deposits | 8,768 | 5,457 |
| Other cash (including cash in transit - payment cards) | 7,780 | 3,541 |
| | **43,050** | **24,495** |

(in thousands of PLN)

The tables below depict the reasons for the differences between the changes resulting from the interim condensed consolidated statement of financial position and the changes resulting from the interim condensed consolidated statement of cash flow:

| | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Change in trade receivables in consolidated statement of financial position | 4,412 | 10,662 |
| Change in receivables from the disposal of fixed assets | (376) | 962 |
| Change in budget receivables | (7,650) | (4,840) |
| Change in receivables in consolidated statement of cash flows | **(3,614)** | **6,784** |

| | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Change in liabilities in consolidated statement of financial position | 86,718 | 81,321 |
| Change in loans | (53,240) | (124,346) |
| Change in finance lease liabilities | (17,628) | (10,815) |
| Change in investment payables | 3,290 | (7,996) |
| Change in income tax liabilities | (5,262) | (71) |
| Change in liabilities in consolidated statement of cash flows | **13,878** | **(61,907)** |

In H1 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

### 17.7. Other selected disclosures

In H1 2017, the Incentive Program was in force in the Company. Details of the incentive program were presented in the 2016 consolidated financial statements.

Within the framework of the program in H1 2017 the selling shareholder awarded compensation of PLN 7,500 thousand to the Management Board. According to IFRS 2 *Share-Based Payments*, this amount was recognized as payroll expenses referring to the Company's other equity.

# 18. Business combinations and acquisition of non-controlling interests

In the period for which the interim condensed consolidated financial statements were prepared, the entity did not merge with any other entity and no entities were acquired or sold.

# 19. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, bonds, finance lease and hire-purchase agreements, cash and current deposits. The main objective of these instruments is to raise funding for the Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities.

The principle that the Group presently applies and applied during the entire period covered by the consolidated statements is not to trade in financial instruments.

The main types of risk following from the Group's financial instruments comprise interest rate risk, liquidity risk, FX risk and credit risk. The Management Board of the parent company verifies and agrees the principles of managing each type of risk.

(in thousands of PLN)

In the 6-month period ended 30 June 2017, there were no major changes in the rules for managing financial risk as compared to the 2016 consolidated financial statements.

# 20. Financial instruments

The Group believes that the fair value of cash, current deposits, trade receivables, trade payables, bank loans, borrowings and finance lease liabilities does not differ from their carrying amounts. In the 6-month period ended 30 June 2017, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

**Fair value hierarchy of financial instrument classes**

| | *Fair value* | | *Carrying amount* | |
|---|---|---|---|---|
| | *30 June 2017* | *31 December 2016* | *30 June 2017* | *31 December 2016* |
| *Financial assets – Loans and receivables* | | | | |
| Trade and other receivables | 29,253 | 33,665 | 29,253 | 33,665 |
| **Total** | **29,253** | **33,665** | **29,253** | **33,665** |

| | *Fair value* | | *Carrying amount* | |
|---|---|---|---|---|
| | *30 June 2017* | *31 December 2016* | *30 June 2017* | *31 December 2016* |
| *Non-current financial liabilities – measured at amortized cost* | | | | |
| Interest-bearing loans and borrowings | 418,073 | 375,590 | 418,073 | 375,590 |
| Finance lease and hire-purchase liabilities | 90,472 | 76,788 | 90,472 | 76,788 |
| **Total** | **508,545** | **452,378** | **508,545** | **452,378** |
| *Current financial liabilities – measured at amortized cost* | | | | |
| Interest-bearing loans and borrowings | 79,343 | 68,585 | 79,343 | 68,585 |
| Finance lease and hire-purchase liabilities | 45,532 | 41,588 | 45,532 | 41,588 |
| Trade payables | 453,107 | 451,468 | 453,107 | 451,468 |
| **Total** | **577,982** | **561,641** | **577,982** | **561,641** |

# 21. Discontinued operations

The Group did not discontinue any operations during the period covered by these interim condensed consolidated financial statements.

# 22. Related party transactions

The table below presents the total amounts of transactions concluded with related entities in the period of six months ended 30 June 2017 and 2016 (for sales and purchases) and as at 30 June 2017 and 31 December 2016 (for receivables and payables):

| *Related party* | *Sales to related parties* | *Purchases from related parties* | *Receivables from related parties* | *Liabilities to related parties* |
|---|---|---|---|---|

| | *Sales to related parties* | *Purchases from related parties* | *Receivables from related parties* | *Liabilities to related parties* |
|---|---|---|---|---|
| Key Group management (members of Management Boards) | | | | |
| *2017* | - | - | - | - |
| *2016* | - | - | - | - |
| Supervisory Board | | | | |
| *2017* | - | - | - | - |
| *2016* | - | - | - | - |
| *Companies linked through the majority owner* | | | | |
| Zakłady Mięsne „Biernacki” Tomasz Biernacki | | | | |
| *2017* | 1 | 232 | 1 | 2 |
| *2016* | 1 | 294 | 3 | 53 |
| Davi Przedsiębiorstwo Handlowe sp. z o.o.* | | | | |
| *2017* | - | - | - | - |
| *2016* | 2 | 1,616 | - | - |
| *BT Development BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | 22 | 1,726 | 3 | 427 |
| *2016* | 10 | 572 | 3 | 402 |
| *BT Inwestycje sp. z o.o.* | | | | |
| *2017* | - | - | - | - |
| *2016* | - | 8 | - | - |
| *Inwestycje BT Kapitał sp. z o.o. SKA* | | | | |
| *2017* | - | - | 1 | - |
| *2016* | - | 92 | - | - |
| *Krot Invest KR Inżynieria sp. z o.o. SKA* | | | | |
| *2017* | 332 | 86,870 | 78 | 55,770 |
| *2016* | 310 | 74,155 | 53 | 57,686 |
| *Krot Invest 2 KR Inżynieria sp. z o.o. Sp.k.* | | | | |
| *2017* | - | 4,995 | - | 2,290 |
| *2016* | - | 3,484 | 1 | 2,015 |
| *Zielony Rynek 1 BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | 2 | 196 | - | 49 |
| *2016* | - | 204 | 1 | 51 |
| *Zielony Rynek 2 BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | 1 | 181 | - | 46 |
| *2016* | - | 91 | 1 | 37 |
| *Zielony Rynek 3 BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | 2 | 780 | - | 188 |
| *2016* | 18 | 759 | 1 | 170 |
| *Zielony Rynek 4 BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | - | 534 | - | 150 |
| *2016* | - | 563 | - | 142 |
| *Zielony Rynek 6 BT Kapitał sp. z o.o. sp.k.* | | | | |
| *2017* | - | 1,208 | 33 | 402 |
| *2016* | | 1,552 | 30 | 249 |
| *Zielony Rynek BT Kapitał sp. z o.o. SKA* | | | | |
| *2017* | - | - | - | - |
| *2016* | - | - | - | - |

(in thousands of PLN)

| | | | | | |
|---|---|---|---|---|---|
| Mleczarnia Naramowice sp. z o.o. | | | | | |
| | *2017* | 22 | 4,412 | - | 73 |
| | *2016* | 87 | 9,226 | 25 | 1,073 |
| *Companies linked through the minority owner*** | | | | | |
| Harper Hygienics S.A. | | | | | |
| | *2017* | - | 519 | - | 397 |
| | *2016* | - | 775 | - | 492 |
| Hoop Polska sp. z o.o. | | | | | |
| | *2017* | - | 1,157 | - | 1,118 |
| | *2016* | - | 2,152 | - | 942 |
| Dystrybucja Polska sp. z o.o. | | | | | |
| | *2017* | - | - | - | - |
| | *2016* | - | 23 | - | - |
| EP Serwis S.A. | | | | | |
| | *2017* | - | - | - | - |
| | *2016* | - | 44 | - | - |
| *Companies linked through the key personnel* | | | | | |
| Agrofirma Spółdzielcza | | | | | |
| | *2017* | 2 | - | - | - |
| | *2016* | 5 | - | 13 | - |
| TBE sp. z o.o. | | | | | |
| | *2017* | 3 | 380 | 3 | 78 |
| | *2016* | 2 | 358 | 1 | 55 |

**Since 22 June 2016. DAVI Trading Company sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.*
*** Since 19 April 2017, companies linked through the minority owner are no longer related parties; accordingly, any transactions effected after that date are presented as transactions with other entities.*

Related party transactions were routine in nature and were concluded on an arm's length basis and for prices that did not differ from the prices used in transactions between unrelated parties.

# 23. Events after the reporting period

No material events occurred by the date of these interim condensed consolidated financial statements that would have to be disclosed or discussed in these financial statements.

*DINO POLSKA S.A.*

**INTERIM CONDENSED FINANCIAL STATEMENTS**
**FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2017**
**WITH THE INDEPENDENT AUDITOR'S REVIEW REPORT**

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# FINANCIAL HIGHLIGHTS

| | ***PLN 000s*** | | ***EUR 000s**** | |
|---|---|---|---|---|
| | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** | ***from 1 January 2017 to 30 June 2017*** | ***from 1 January 2016 to 30 June 2016*** |
| Revenue | 2,011,153 | 1,527,509 | 470,952 | 349,841 |
| Operating profit | 54,173 | 37,770 | 12,686 | 8,650 |
| Profit before tax | 34,561 | 18,277 | 8,093 | 4,186 |
| Net profit | 23,030 | 14,471 | 5,393 | 3,314 |
| Number of shares | 98,040,000 | 98,040,000 | 98,040,000 | 98,040,000 |
| Basic / diluted EPS (in PLN, EUR) | 0.23 | 0.15 | 0.06 | 0.03 |
| Cash flow from operating activities | 66,942 | 41,794 | 15,676 | 9,572 |
| Cash flow from investing activities | (135,391) | (115,869) | (31,705) | (26,537) |
| Cash flow from financing activities | 44,231 | 65,768 | 10,358 | 15,063 |
| Net movement in cash and cash equivalents | (24,218) | (8,307) | (5,671) | (1,903) |

*In the case of data in EUR, the average EUR/PLN exchange rate in the period, as published by the National Bank of Poland, was used:

- average NBP exchange rate for H1 2017: 4.2704 PLN/EUR;
- average NBP exchange rate for H1 2016: 4.3663 PLN/EUR.

| | ***PLN 000s*** | | ***EUR 000s**** | |
|---|---|---|---|---|
| | ***as at 30 June 2017*** | ***as at 31 December 2016*** | ***as at 30 June 2017*** | ***as at 31 December 2016*** |
| Total assets | 1,857,118 | 1,722,477 | 439,399 | 389,348 |
| Total non-current assets | 1,369,717 | 1,237,533 | 324,078 | 279,732 |
| Total current assets | 487,401 | 484,944 | 115,320 | 109,617 |
| Equity | 588,684 | 558,154 | 139,284 | 126,165 |
| Share capital | 9,804 | 9,804 | 2,320 | 2,216 |
| Non-current liabilities | 423,126 | 377,622 | 100,113 | 85,358 |
| Current liabilities | 807,870 | 755,462 | 191,144 | 170,765 |

*In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- average NBP exchange rate as at 30 June 2017: 4.2265 PLN/EUR;
- average NBP exchange rate as at 31 December 2016: 4.4240 PLN/EUR.

# INTERIM STATEMENT OF PROFIT OR LOSS

## for the 6-month period ended 30 June 2017

| *(in thousands of PLN)* | *Note* | *6-month period ended* *30 June 2017* *(unaudited)* | *30 June 2016* *(unaudited)* |
|---|---|---|---|
| **A. Net revenue and equivalents, of which:** | | **2,011,153** | **1,527,509** |
| - from related entities | | 1,205 | 2,559 |
| I. Net revenue on sales of products | | 3,648 | 2,681 |
| IV. Net revenue on sales of goods and materials | | 2,007,505 | 1,524,828 |
| **B. Operating expenses** | | **(1,957,401)** | **(1,490,714)** |
| I. Depreciation and amortization | | (27,502) | (19,395) |
| II. Consumption of materials and energy | | (29,771) | (22,884) |
| III. External services | | (138,209) | (118,175) |
| IV. Taxes and charges, including: | | (7,623) | (5,392) |
| V. Salaries | | (168,563) | (118,512) |
| VI. Social security and other benefits, of which: | | (34,252) | (25,259) |
| - pension | | (14,914) | (10,855) |
| VII. Other costs by nature | | (6,853) | (6,081) |
| VIII. Cost of goods and materials sold | | (1,544,628) | (1,175,016) |
| **C. Sales profit / (loss) (A – B)** | | **53,752** | **36,795** |
| **D. Other operating income** | **7.1** | **725** | **1,210** |
| I. Profit on disposal of non-financial non-current assets | | - | 41 |
| II. Subsidies | | - | - |
| III. Revaluation of non-financial assets | | - | - |
| IV. Other operating income | | 725 | 1,169 |
| **E. Other operating expenses** | **7.2** | **(304)** | **(235)** |
| I. Loss on disposal of non-current non-financial assets | | (122) | - |
| II. Revaluation of non-financial assets | | - | - |
| III. Other operating expenses | | (182) | (235) |
| **F. Operating profit (loss) (C+D-E)** | | **54,173** | **37,770** |
| **G. Finance income** | **7.3** | **933** | **1,248** |
| I. Dividends and profit sharing | | - | - |
| II. Interest, including: | | 909 | 1,248 |
| - from related entities | | 907 | 1,244 |
| III. Profit on disposal of financial assets | | - | - |
| IV. Revaluation of financial assets | | - | - |
| V. Other | | 24 | - |
| **H. Finance costs** | **7.4** | **(20,545)** | **(20,741)** |
| I. Interest, including: | | (17,186) | (17,437) |
| - to related entities | | (811) | (2,747) |
| II. Loss on disposal of financial assets, including: | | - | - |
| III. Revaluation of financial assets | | - | - |
| IV. Other | | (3,359) | (3,304) |
| **I. Gross profit (loss) (F + G + H)** | | **34,561** | **18,277** |
| **J. Income tax** | **8** | **(11,531)** | **(3,806)** |
| **K. Other compulsory reductions in profit (increase in losses)** | | **-** | **-** |
| **L. Net profit/(loss) (I – J – K)** | | **23,030** | **14,471** |

# INTERIM BALANCE SHEET
## as at 30 June 2017

| *(in thousands of PLN)* | | *Note* | *As at 30 June 2017* | *As at 31 December 2016* |
|---|---|---|---|---|
| **A.** | **Non-current assets** | | **1,369,717** | **1,237,533** |
| **I.** | **Intangible assets** | **10** | **9,645** | **10,439** |
| 3. | Other intangible assets | | 9,645 | 10,439 |
| **II.** | **Property, plant and equipment** | **9** | **602,128** | **456,604** |
| 1. | Fixed assets | | 531,038 | 422,971 |
| | a) land (including the right of usufruct to land) | | 96,483 | 68,264 |
| | b) buildings, premises, rights to premises and civil and marine engineering facilities | | 193,655 | 134,048 |
| | c) plant and equipment | | 125,459 | 114,065 |
| | d) means of transport | | 25,922 | 17,343 |
| | e) other fixed assets | | 89,519 | 89,250 |
| 2. | Fixed assets under construction | | 71,090 | 33,634 |
| **III.** | **Non-current receivables** | | **-** | **-** |
| **IV.** | **Non-current investments** | | **729,692** | **727,151** |
| 3. | Non-current financial assets | | 729,692 | 727,151 |
| | a) in related entities | | 729,692 | 727,151 |
| | - ownership interests or shares | | 727,151 | 727,151 |
| | - other securities | 11 | 2,541 | - |
| **V.** | **Non-current prepayments** | | **28,252** | **43,339** |
| 1. | Deferred tax assets | 8 | 17,841 | 12,105 |
| 2. | Other prepayments | | 10,411 | 31,234 |
| **B.** | **Current assets** | | **487,401** | **484,944** |
| **I.** | **Inventories** | | **294,271** | **270,798** |
| 4. | Goods | 12 | 294,271 | 270,798 |
| **II.** | **Current receivables** | | **53,705** | **49,827** |
| 1. | Receivables from related entities | 21 | 1,032 | 908 |
| | a) for goods and services with the term of payment: | | 454 | 510 |
| | - up to 12 months | | 454 | 510 |
| | b) other | | 578 | 398 |
| 2. | Receivables from entities to which the company has equity exposure | | - | - |
| 3. | Receivables from other entities | | 52,673 | 48,919 |
| | a) for goods and services with the term of payment: | | 24,321 | 25,275 |
| | - up to 12 months | 13 | 24,321 | 25,275 |
| | b) on taxes, subsidies, customs duties, social security and health insurance or other public dues | | 25,092 | 17,607 |
| | c) other | | 3,260 | 6,037 |
| **III.** | **Current investments** | | **93,600** | **121,914** |
| 1. | Current financial assets | | 93,600 | 121,914 |
| | a) in related entities | 21 | 63,586 | 67,682 |
| | - other securities | 11 | 19,577 | 22,179 |
| | - loans granted | | 44,009 | 45,503 |
| | b) in other entities | | - | - |
| | c) cash and other cash assets | 17.6 | 30,014 | 54,232 |
| | - cash on hand and on accounts | | 16,528 | 35,743 |
| | - other cash | | 13,486 | 18,489 |
| **IV.** | **Current prepayments** | | **45,825** | **42,405** |
| **C.** | **Contributions due to share capital** | | **-** | **-** |
| **D.** | **Treasury stock** | | **-** | **-** |
| **Total assets** | | | **1,857,118** | **1,722,477** |

| *(in thousands of PLN)* | | Note | *As at 30 June 2017* | *As at 31 December 2016* |
|---|---|---|---|---|
| **A.** | **Equity** | | **588,684** | **558,154** |
| **I.** | **Share capital** | **14** | **9,804** | **9,804** |
| **II.** | **Supplementary capital** | | **548,350** | **268,902** |
| **III.** | **Revaluation reserve (fund)** | | **-** | **-** |
| **IV.** | **Other reserve capital** | | - | - |
| **V.** | **Profit (loss) brought forward** | | - | - |
| **VI.** | **Net profit/(loss)** | | **23,030** | **279,448** |
| **VII.** | **Other equity components** | **17.7** | **7,500** | **-** |
| **B.** | **Liabilities and provisions for liabilities** | | **1,268,434** | **1,164,323** |
| **I.** | **Provisions for liabilities** | **15** | **21,147** | **19,323** |
| 1. | *Deferred tax liability* | 8 | 19,916 | 12,426 |
| 2. | Provision for pension and similar benefits | 15 | 1,231 | 6,897 |
| | - non-current | | 1,024 | 1,024 |
| | - current | | 207 | 5,873 |
| **II.** | **Non-current liabilities** | | **423,126** | **377,622** |
| 1. | To related entities | | - | - |
| 2. | To other entities in which the company has equity exposure | | - | - |
| 3. | To other entities | | 423,126 | 377,622 |
| | a) loans and borrowings | 16 | 338,390 | 306,957 |
| | b) issues of debt securities | | - | - |
| | c) other financial liabilities | 16 | 84,736 | 70,665 |
| **III.** | **Current liabilities** | | **807,870** | **755,462** |
| 1. | Liabilities to related entities | 21 | 212,245 | 188,756 |
| | a) for goods and services with a maturity of: | | 104,086 | 119,171 |
| | - up to 12 months | | 104,086 | 119,171 |
| | b) other | | 108,159 | 69,585 |
| 2. | Liabilities to other entities in which the company has equity exposure | | - | - |
| 3. | Liabilities to other entities | | 595,625 | 566,706 |
| | a) loans and borrowings | 16 | 69,487 | 60,413 |
| | b) issues of debt securities | | - | - |
| | c) other financial liabilities | 16 | 42,298 | 38,051 |
| | d) for goods and services with a maturity of: | | 409,283 | 410,105 |
| | - up to 12 months | | 409,283 | 410,105 |
| | e) advances received towards deliveries and services | | - | - |
| | f) bill of exchange liabilities | | - | - |
| | g) on taxes, customs duties, social security and health insurance or other public dues | | 36,273 | 28,507 |
| | h) payroll | | 25,079 | 20,402 |
| | i) other | | 13,205 | 9,228 |
| **IV.** | **Deferred revenue** | | **16,291** | **11,916** |
| 1. | Negative goodwill | | - | - |
| 2. | Other deferred revenue | | 16,291 | 11,916 |
| | - non-current | | - | - |
| | - current | | 16,291 | 11,916 |
| **Total equity and liabilities** | | | **1,857,118** | **1,722,477** |

# INTERIM STATEMENT OF CASH FLOWS

| *(in thousands of PLN)* | *Note* | *6-month period ended* *30 June 2017* *(unaudited)* | *30 June 2016* *(unaudited)* |
|---|---|---|---|
| **A. Cash flow from operating activities** | | | |
| **I. Net profit/(loss)** | | **23,030** | **14,471** |
| **II. Total adjustments** | | **43,912** | **27,323** |
| 1. Depreciation and amortization | | 27,502 | 19,395 |
| 2. Foreign exchange gains/(losses) | | - | - |
| 3. Interest and profit sharing (dividends) | | 18,126 | 18,719 |
| 4. Profit/(loss) on investing activity | | 122 | (41) |
| 5. Change in the balance of provisions | | 1,822 | 2,174 |
| 6. Movement in inventories | | (23,473) | (3,618) |
| 7. Movement in receivables | 17.6 | (3,690) | 5,831 |
| 8. Movement in current liabilities, except for loans and borrowings | 17.6 | (40) | (36,040) |
| 9. Movement in prepayments and deferred revenue | | 16,043 | 20,903 |
| 10. Other adjustments | | 7,500 | - |
| **III. Net cash flow on operating activity (I±II)** | | **66,942** | **41,794** |
| **B. Cash flow from investing activities** | | | |
| **I. Inflows** | | **12,243** | **14,067** |
| 1. Sale of intangible assets and property, plant and equipment | | 2,103 | 1,495 |
| 3. From financial assets, including: | | 10,140 | 12,572 |
| a) in related entities | | 10,138 | 12,568 |
| b) in other entities | | 2 | 4 |
| - interest | | 2 | 4 |
| **II. Outflows** | | **(147,634)** | **(129,936)** |
| 1. Purchase of intangible assets and property, plant and equipment | | (139,958) | (73,014) |
| 3. Towards financial assets, including: | | (7,676) | (56,922) |
| a) in related entities | | (7,676) | (56,922) |
| **III. Net cash flow on investing activity (I-II)** | | **(135,391)** | **(115,869)** |
| **C. Cash flow from financing activities** | | | |
| **I. Inflows** | | **119,130** | **122,592** |
| 2. Loans and borrowings | | 81,130 | 122,592 |
| 3. Issue of debt securities | | 38,000 | - |
| **II. Outflows** | | **(74,899)** | **(56,824)** |
| 4. Repayment of loans and borrowings | | (30,931) | (20,255) |
| 5. Redemption of debt securities | | (1,000) | - |
| 7. Payments of finance lease liabilities | | (22,424) | (18,698) |
| 8. Interest | | (17,412) | (14,867) |
| 9. Other financial expenditures | | (3,132) | (3,004) |
| **III. Net cash flow on financing activity (I-II)** | | **44,231** | **65,768** |
| **D. Total net cash flow (A.III±B.III±C.III)** | | **(24,218)** | **(8,307)** |
| **E. Balance sheet movement in cash, including** | | **(24,218)** | **(8,307)** |
| - movement in cash on account of foreign exchange gains | | | |
| **F. Cash at the beginning of the period** | | **54,232** | **25,857** |
| **G. Cash at the end of the period (F±D), including** | **17.6** | **30,014** | **17,550** |
| - restricted cash | | - | - |

# INTERIM STATEMENT OF CHANGES IN EQUITY
## for the 6-month period ended 30 June 2017

| *(in thousands of PLN)* | *6-month period ended 30 June 2017 (unaudited)* | *Year ended 31 December 2016* | *6-month period ended 30 June 2016 (unaudited)* |
|---|---|---|---|
| **I. Equity at the beginning of the period (OB)** | **558,154** | **278,706** | **278,706** |
| **I.a. Equity at the beginning of the period (OB), adjusted** | **558,154** | **278,706** | **278,706** |
| 1. Share capital at the beginning of the period | 9,804 | 9,804 | 9,804 |
| 1.1. Movement in share capital | - | - | - |
| **1.2. Share capital at the end of the period** | **9,804** | **9,804** | **9,804** |
| 2. Supplementary capital at the beginning of the period | 268,902 | 234,475 | 234,475 |
| 2.1. Changes to supplementary capital | 279,448 | 34,427 | 34,427 |
| a) increase | 279,448 | 34,427 | 34,427 |
| - profit distribution | 279,448 | 34,427 | 34,427 |
| b) decrease | - | - | - |
| **2.2. Balance of supplementary capital at the end of the period** | **548,350** | **268,902** | **268,902** |
| 3. Revaluation reserve at the beginning of the period | - | - | - |
| 3.1. Changes in the revaluation reserve | - | - | - |
| 3.2. Revaluation reserve at the end of the period | - | - | - |
| 4. Other reserve capital at the beginning of the period | - | - | - |
| 4.1. Change in other reserve capital | - | - | - |
| **4.2. Other reserve capital at the end of the period** | **-** | **-** | **-** |
| 5. Profit (loss) brought forward at the beginning of the period | 279,448 | 34,427 | 34,427 |
| 5.1. Profit carried forward at the beginning of the period | 279,448 | 34,427 | 34,427 |
| 5.2. Profit carried forward at the beginning of the period, adjusted | 279,448 | 34,427 | 34,427 |
| a) increase | - | - | - |
| b) decrease | (279,448) | (34,427) | (34,427) |
| - distribution of profits brought forward | (279,448) | (34,427) | (34,427) |
| 5.3. Profit brought forward at the end of the period | - | - | - |
| 5.4. Loss brought forward at the beginning of the period | - | - | - |
| 5.5. Loss brought forward at the beginning of the period, adjusted | - | - | - |
| 5.6. Losses brought forward at the end of the period | - | - | - |
| **5.7. Profit/(loss) brought forward at the end of the period** | **-** | **-** | **-** |
| **6. Net result** | **23,030** | **279,448** | **14,471** |
| a) net profit | 23,030 | 279,448 | 14,471 |
| b) net loss | - | - | - |
| c) charges to profits | - | - | - |
| **7. Other equity components** | **7,500** | **-** | **-** |
| **II. Equity at the end of the period (CB)** | **588,684** | **558,154** | **293,177** |
| **III. Equity after considering the proposed distribution of profits (coverage of losses)** | **588,684** | **558,154** | **293,177** |

# ADDITIONAL EXPLANATORY NOTES

## 1. General information

Dino Polska S.A. (“Company”) is a joint stock company with its registered office in Krotoszyn, whose shares are traded publicly. The Company’s interim financial statements cover the 6-month period ended 30 June 2017 and contain comparative data for the 6-month period ended 30 June 2016 and as at 31 December 2016.

The Company was entered in the register of commercial undertakings in the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The Company has been given the following statistical number: REGON 300820828.

The Company’s duration is unlimited.

According to the Company’s articles of association, the Company’s core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco.

These interim financial statements of the Company for the 6-month period ended 30 June 2017 were approved by the Management Board for publication.

## 2. Grounds for drawing up the interim financial statements

These interim financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter “Accounting Act”) and pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The interim financial statements do not include all the information and disclosures required for annual financial statements and they should be read jointly with the Company's financial statements for the year ended 31 December 2016 and approved for publication on 27 February 2017.

These interim financial statements are presented in zloty (“PLN”), and all amounts are stated in PLN, unless otherwise stated.

These interim financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 30 June 2017. As at 30 June 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of the investments. Conditions precedent related to the loan agreements are monitored on an ongoing basis and as of now there is no risk of termination of these agreements by the banks. The Company’s Management Board did not identify, as at the date of signing the financial statements, any other facts or circumstances that would point to any threat to the Company’s ability to continue its activity for at least 12 months after the balance sheet date as a result of intentional or induced discontinuation or material curtailment of its existing activity.

The interim financial result may not be fully representative of the financial result that may potentially be achieved for the full financial year.

## 3. Significant accounting policies

The accounting policies used to draw up these interim condensed financial statements are consistent with those used to draw up the Company’s annual financial statements for the financial year started 1 January 2016.

(in thousands of PLN)

# 4. Changes in estimates and error corrections

In the 6-month period ended 30 June 2017, no changes in estimates and no error corrections were made as compared to 31 December 2016.

# 5. Seasonality of business

The revenue and financial results posted in individual quarters reflect the seasonality of sales. The Company achieves higher revenue in the periods near the holidays and in the Summer. Additionally, the Company's revenue depends on the number of new stores being opened; in the winter periods, in particular in the first quarter of the year, because of the weather conditions restricting the possibility of conducting construction work, such number is lower than in the remaining quarters of the year, in particular than in the 3rd and 4th quarters.

# 6. Dividends paid and proposed

In the reporting period, the Company did not pay out a dividend.

# 7. Income and expenses

## 7.1. Other operating income

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Profit on disposal of non-financial non-current assets, including: | - | 41 |
| - profit on disposal of fixed assets and intangible assets | - | 41 |
| Other operating income, including: | 725 | 1,169 |
| - indemnities received | 583 | 296 |
| - revenue on timely tax payments (0.3%) | 34 | 24 |
| - other | 108 | 849 |
| **Total other operating income** | **725** | **1,210** |

## 7.2. Other operating expenses

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Loss on disposal of non-financial non-current assets, including: | 122 | - |
| - loss on disposal of fixed assets and intangible assets | 122 | - |
| Other operating expenses, including: | 182 | 235 |
| - effects of theft | 130 | 115 |
| - donations | - | 31 |
| - litigation costs | 22 | - |
| - other | 30 | 89 |
| **Total other operating expenses** | **304** | **235** |

(in thousands of PLN)

### 7.3. Finance income

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Interest, including: | 909 | 1,248 |
| - interest from related companies | 907 | 1,244 |
| - bank interest | 2 | 4 |
| Other, including: | 24 | - |
| - foreign exchange differences | 11 | - |
| - other finance income | 13 | - |
| **Total finance income** | **933** | **1,248** |

### 7.4. Finance costs

| *6-month period ended* | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Interest, including: | 17,186 | 17,437 |
| - interest for related companies | 811 | 2,747 |
| - discount on trade payables | 7,340 | 5,463 |
| - interest to other business partners | 6 | 4 |
| - bank interest | 7,075 | 7,789 |
| - interest on lease agreements | 1,954 | 1,434 |
| Other, including: | 3,359 | 3,304 |
| - foreign exchange differences | - | 117 |
| - other finance costs (commissions, sureties) | 3,359 | 3,187 |
| **Total finance costs** | **20,545** | **20,741** |

## 8. Income tax

Reconciliation of income tax calculated on profit/(loss) before tax using the statutory tax rate to income tax calculated according to the Company's effective tax rate is as follows:

| | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| Profit before tax | 34,561 | 18,277 |
| Tax at Poland's statutory rate of 19% (comparative period: 19%) | (6,567) | (3,473) |
| Tax effect of expenses relating to the incentive system | (1,425) | - |
| Income and expense items that are never taxable or deductible and other adjustments | (3,539) | (333) |
| Tax at the effective tax rate | (11,531) | (3,806) |
| Income tax (expense) recognized in profit or loss | (11,531) | (3,806) |

Deferred tax results from the following items:

(in thousands of PLN)

| | *Balance sheet* | | *Statement of profit or loss* | |
|---|---|---|---|---|
| | *30 June 2017* | *31 December 2016* | *30 June 2017* | *30 June 2016* |
| *Deferred tax liability* | | | | |
| Accelerated tax depreciation | 4,679 | 3,755 | 924 | 97 |
| Fixed assets in use under a leasing contract | 5,242 | 5,427 | (185) | 419 |
| Accrued interest, unpaid as at the balance sheet date | 182 | 331 | (149) | 33 |
| Valuation of inventories at purchase price | - | - | - | 2,124 |
| Deferred revenue | 9,813 | 2,908 | 6,905 | (492) |
| Foreign exchange gains | - | 5 | (5) | (7) |
| **Deferred tax liability** | **19,916** | **12,426** | | |
| *Deferred tax assets* | | | | |
| Provisions for jubilee awards and retirement benefits | 234 | 234 | - | - |
| Provision for unused holiday leaves | 3,067 | 2,244 | 823 | 445 |
| Provision for salaries/bonuses | 521 | 1,368 | (847) | 272 |
| Mandate agreements paid in the following year | 114 | 74 | 40 | 5 |
| ZUS contributions | 2,049 | 1,751 | 298 | 156 |
| Provision reducing inventories | 6,561 | 4,841 | 1,720 | (4,043) |
| Provision for deferred revenue | - | - | - | (21) |
| Provision for an audit of the financial statements | 28 | 20 | 8 | 2 |
| Provision for interest to be paid | 7 | 86 | (79) | 119 |
| Provision for other costs | 1,457 | 1,448 | 9 | 3,901 |
| Impairment losses on trade receivables | 39 | 39 | - | (1) |
| Foreign exchange losses | - | - | - | (2) |
| Other (incl. license fees) | 3,764 | - | 3,764 | (66) |
| **Deferred tax assets** | **17,841** | **12,105** | | |
| Deferred tax expense | | | (1,754) | (1,406) |

Details of the transaction and the tax risks were presented in the 2016 consolidated financial statements.

(in thousands of PLN)

# 9. Property, plant and equipment

**6-month period ended 30 June 2017**

| | *Land and buildings* | *Machinery and equipment* | *Means of transport* | *Other fixed assets* | *Construction in progress* | *Total* |
|---|---|---|---|---|---|---|
| **Gross value as at 1 January** | **208,339** | **166,957** | **23,747** | **147,866** | **33,634** | **580,543** |
| Purchases | - | - | - | - | 174,978 | 174,978 |
| Sales | (398) | - | (170) | (144) | (1,691) | (2,403) |
| Decreases | - | (82) | (238) | (1,954) | (234) | (2,508) |
| Transfer from fixed assets under construction | 90,987 | 22,235 | 11,080 | 11,295 | (135,597) | - |
| **Gross value as at 30 June** | **298,928** | **189,110** | **34,419** | **157,063** | **71,090** | **750,610** |
| | | | | | | |
| **Accumulated depreciation and impairment losses as at 1 January** | **6,027** | **52,892** | **6,404** | **58,616** | **-** | **123,939** |
| Depreciation charge for the period | 2,763 | 10,799 | 2,347 | 10,477 | - | 26,386 |
| Sales | - | - | (163) | (127) | - | (290) |
| Decreases | - | (40) | (91) | (1,422) | - | (1,553) |
| **Accumulated depreciation and impairment losses as at 30 June** | **8,790** | **63,651** | **8,497** | **67,544** | **-** | **148,482** |
| | | | | | | |
| **Net value as at 1 January** | **202,312** | **114,065** | **17,343** | **89,250** | **33,634** | **456,604** |
| **Net value as at 30 June** | **290,138** | **125,459** | **25,922** | **89,519** | **71,090** | **602,128** |

(in thousands of PLN)

**Year ended 31 December 2016**

| | *Land and buildings* | *Machinery and equipment* | *Means of transport* | *Other fixed assets* | *Construction in progress* | *Total* |
|---|---|---|---|---|---|---|
| **Gross value as at 1 January** | **48,907** | **124,146** | **13,640** | **114,608** | **21,706** | **323,007** |
| Purchases | - | - | - | - | 266,466 | 266,466 |
| Sales | - | (187) | (548) | (107) | (2,974) | (3,816) |
| Decreases | (510) | (694) | (178) | (3,502) | (230) | (5,114) |
| Transfer from fixed assets under construction | 159,942 | 43,692 | 10,833 | 36,867 | (251,334) | - |
| **Gross value as at 31 December** | **208,339** | **166,957** | **23,747** | **147,866** | **33,634** | **580,543** |
| | | | | | | |
| **Accumulated depreciation and impairment losses as at 1 January** | **3,417** | **35,731** | **4,171** | **44,200** | **-** | **87,519** |
| Depreciation charge for the period | 2,748 | 17,628 | 2,891 | 17,683 | - | 40,950 |
| Sales | - | (15) | (480) | (4) | - | (499) |
| Decreases | (138) | (452) | (178) | (3,263) | - | (4,031) |
| **Accumulated depreciation and impairment losses as at 31 December** | **6,027** | **52,892** | **6,404** | **58,616** | **-** | **123,939** |
| | | | | | | |
| **Net value as at 1 January** | **45,490** | **88,415** | **9,469** | **70,408** | **21,706** | **235,488** |
| **Net value as at 31 December** | **202,312** | **114,065** | **17,343** | **89,250** | **33,634** | **456,604** |

# 10. Intangible assets

**Purchase and sale**

In the 6-month period ended 30 June 2017, the Company acquired intangible assets worth PLN 321 thousand (in 2016: PLN 2,716 thousand).

# 11. Investments in subsidiaries, affiliates and entities under common control

No changes were made to the Company's investments in subsidiaries in the 6-month period ended 30 June 2017.

The bonds of the subsidiary Centrum Wynajmu Nieruchomości sp. z o.o. totaling PLN 22,118 thousand make up the line item entitled other securities.

# 12. Inventories

| | *30 June 2017* | *31 June 2016* |
|---|---|---|
| Goods for sale (at net realizable value) | 294,271 | 270,798 |
| **Total inventories at net sales price** | **294,271** | **270,798** |

In the 6-month period ended 30 June 2017, the Company did not take any impairment losses for the value of its inventories.

# 13. Impairment losses on receivables

| *(in thousands of PLN)* | *Impairment losses on long-term receivables* | *Impairment losses on short-term receivables* |
|---|---|---|
| **As at 1 January 2016** | **-** | **370** |
| Increases | - | 160 |
| - on account of cash-in-hand shortages | - | 22 |
| - impairment losses on settlements | - | 138 |
| Utilization | - | (11) |
| - on account of cash-in-hand shortages | - | (11) |
| Reversal | - | (10) |
| - impairment losses on settlements | - | (10) |
| **As at 31 December 2016** | **-** | **509** |

In the 6-month period ended 30 June 2017, the Company did not take any impairment losses for the value of its receivables.

(in thousands of PLN)

# 14. Capital

As at 30 June 2017, the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a par value of PLN 0.10 each.

As at 31 December 2016, the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a par value of PLN 0.10 each.

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

**30 June 2017**

| | *Number of shares and number of votes at the shareholder meeting* | *Percentage of share capital and voting rights in the shareholder meeting* |
|---|---|---|
| Tomasz Biernacki | 50,000,000 | 51.0% |
| Other shareholders | 48,040,000 | 49.0% |

**31 December 2016**

| | *Number of shares and number of votes at the shareholder meeting* | *Percentage of share capital and voting rights in the shareholder meeting* |
|---|---|---|
| Tomasz Biernacki | 50,000,000 | 51.0% |
| Polish Sigma Group S.a.r.l. | 48,040,000 | 49.0% |

# 15. Provisions

| | *Deferred tax liability* | *Provision for pension and disability benefits* | *Benefits under the incentive program* | *Total* |
|---|---|---|---|---|
| **Opening balance as at 1 January 2017 (restated)** | **12,426** | **1,231** | **5,666** | **19,323** |
| Increases | 7,490 | - | - | 7,490 |
| Utilization | - | - | (5,666) | (5,666) |
| **Closing balance as at 30 June 2017** | **19,916** | **1,231** | **-** | **21,147** |
| Non-current provisions | 19,916 | 1,024 | - | 20,940 |
| Current provisions | - | 207 | - | 207 |

| | *Deferred tax liability* | *Provision for pension and disability benefits* | *Benefits under the incentive program* | *Total* |
|---|---|---|---|---|
| **Opening balance as at 1 January 2016** | **8,076** | **744** | **-** | **8,820** |
| Increases | 4,350 | 487 | 5,666 | **10,503** |
| Utilization | - | - | - | **-** |
| **Closing balance as at 31 December 2016** | **12,426** | **1,231** | **5,666** | **19,323** |
| Non-current provisions | 12,426 | 1,024 | - | 13,450 |
| Current provisions | - | 207 | 5,666 | 5,873 |

(in thousands of PLN)

# 16. Interest-bearing bank loans and borrowings

| | *30 June 2017* | *31 December 2016* |
|---|---|---|
| **Current** | | |
| Finance lease liabilities | 42,298 | 38,051 |
| Current account overdraft | 6,911 | 1,613 |
| Investment loans | 55,294 | 53,636 |
| Loans to finance the current activity | 6,867 | 4,755 |
| Loan | 415 | 409 |
| | **111,785** | **98,464** |
| **Non-current** | | |
| Finance lease liabilities | 84,736 | 70,665 |
| Investment loans | 310,255 | 285,484 |
| Loans to finance the current activity | 26,869 | 19,998 |
| Loan | 1,266 | 1,475 |
| | **423,126** | **377,622** |

| *Type of liability* | *Date of contract* | *Balance of liability as at 30 June 2017 (PLN 000s)* | *Interest rate* | *Final maturity* | *Type of security* |
|---|---|---|---|---|---|
| 1. Loan agreement with BPH | 2011-10-21 | 24,052 | WIBOR + margin | 2021-10-20 | joint contractual mortgage, assignment of rights under the insurance policy |
| 2. Loan agreement with mBank | 2013-11-22 | 2,319 | WIBOR + margin | 2023-10-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 3. Loan agreement with mBank | 2012-03-08 | 6,809 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 4. Loan agreement with PKO BP | 2011-04-13 | 2,696 | WIBOR + margin | 2017-10-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 5. Loan agreement with PKO BP | 2011-04-13 | 4,253 | WIBOR + margin | 2021-04-12 | joint contractual mortgage, assignment of rights under the insurance policy |
| 6. Loan agreement with PKO BP | 2013-05-23 | 48,750 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 7. Loan agreement with PKO BP | 2016-10-25 | 59,573 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 8. Debt limit agreement with Raiffeisen | 2011-12-20 | 1,713 | WIBOR + margin | 2018-11-30 | assignment of accounts receivable under card payments |
| 9. Loan agreement with BZ WBK | 2012-07-31 | 23,921 | WIBOR + margin | 2022-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 10. Loan agreement with BZ WBK | 2012-08-31 | 1,081 | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 11. Loan agreement with BZ WBK | 2014-02-20 | 11,601 | WIBOR + margin | 2019-02-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 12. Loan agreement with mBank | 2014-01-09 | 20,105 | WIBOR + margin | 2023-11-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 13. Loan agreement with ING | 2014-04-15 | 41,668 | WIBOR + margin | 2022-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 14. Loan agreement with BPH | 2011-04-20 | 620 | WIBOR + margin | 2017-07-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 15. Loan agreement with Bank Millennium | 2014-12-18 | 11,438 | WIBOR + margin | 2020-06-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 16. Loan agreement with mBank | 2015-04-17 | 19,872 | WIBOR + margin | 2025-03-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 17. Loan agreement with BZ WBK | 2015-02-05 | 21,845 | WIBOR + margin | 2020-01-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 18. Loan agreement with BZ WBK | 2014-07-31 | 3425 | WIBOR + margin | 2019-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 19. Loan agreement with ING | 2014-04-15 | 162 | WIBOR + margin | 2018-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 20. Loan agreement with Bank Millennium | 2012-04-27 | 640 | WIBOR + margin | 2018-06-26 | joint contractual mortgage, assignment of rights under the insurance policy |
| 21. Loan agreement with BZ WBK | 2016-09-30 | 19,939 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 22. Loan agreement with mBank | 2016-08-16 | 4,527 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 23. Loan agreement with mBank | 2016-04-11 | - | WIBOR + margin | 2017-10-09 | joint contractual mortgage, assignment of rights under the insurance policy |
| 24. Loan agreement with Millennium | 2016-05-12 | 22,297 | WIBOR + margin | 2021-05-11 | joint contractual mortgage, assignment of rights under the insurance policy |
| 25. Siemens loan | 2016-02-24 | 1,681 | WIBOR + margin | 2021-02-28 | promissory note |
| 26. Loan agreement with PKO BP | 2016-10-25 | 35,104 | WIBOR + margin | 2025-04-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 27. Loan agreement with ING | 2016-04-15 | 18,748 | WIBOR + margin | 2024-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| **TOTAL** | | **408,839** | | | |

* *Balance of liabilities excluding commissions.*

Additionally liabilities on account of loans and leases are secured by blank promissory notes.

| ***Type of liability*** | ***Date of contract*** | ***Balance of liability as at 31 December 2016* (PLN 000s)*** | ***Interest rate*** | ***Final maturity*** | ***Type of security*** |
|---|---|---|---|---|---|
| 1. Loan agreement with BPH | 2011-10-21 | 27,290 | WIBOR + margin | 2021-10-20 | joint contractual mortgage, assignment of rights under the insurance policy |
| 2. Loan agreement with mBank | 2013-11-22 | 2,502 | WIBOR + margin | 2023-10-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 3. Loan agreement with mBank | 2012-03-08 | 7,565 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 4. Loan agreement with PKO BP | 2012-01-26 | - | WIBOR + margin | 2017-10-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 5. Loan agreement with PKO BP | 2011-04-13 | 4,904 | WIBOR + margin | 2021-04-12 | joint contractual mortgage, assignment of rights under the insurance policy |
| 6. Loan agreement with PKO BP | 2013-05-23 | 55,069 | WIBOR + margin | 2021-12-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 7. Loan agreement with PKO BP | 2016-10-25 | 63,682 | WIBOR + margin | 2024-10-24 | joint contractual mortgage, assignment of rights under the insurance policy |
| 8. Debt limit agreement with Raiffeisen | 2011-12-20 | - | WIBOR + margin | 2018-11-30 | assignment of accounts receivable under card payments |
| 9. Loan agreement with BZ WBK | 2012-07-31 | 26,274 | WIBOR + margin | 2022-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 10. Loan agreement with BZ WBK | 2012-08-31 | 1,159 | WIBOR + margin | 2017-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 11. Loan agreement with BZ WBK | 2014-02-20 | 12,366 | WIBOR + margin | 2019-02-28 | joint contractual mortgage, assignment of rights under the insurance policy |
| 12. Loan agreement with mBank | 2014-01-09 | 21,698 | WIBOR + margin | 2023-11-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 13. Loan agreement with ING | 2014-04-15 | 45,834 | WIBOR + margin | 2022-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 14. Loan agreement with BPH | 2011-04-20 | - | WIBOR + margin | 2017-07-18 | joint contractual mortgage, assignment of rights under the insurance policy |
| 15. Loan agreement with Bank Millennium | 2014-12-18 | 12,862 | WIBOR + margin | 2020-06-17 | joint contractual mortgage, assignment of rights under the insurance policy |
| 16. Loan agreement with mBank | 2015-04-17 | 21,154 | WIBOR + margin | 2025-03-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 17. Loan agreement with BZ WBK | 2015-02-05 | 23,130 | WIBOR + margin | 2020-01-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 18. Loan agreement with BZ WBK | 2014-07-31 | 3,875 | WIBOR + margin | 2019-07-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 19. Loan agreement with ING | 2014-04-15 | 45 | WIBOR + margin | 2018-04-14 | joint contractual mortgage, assignment of rights under the insurance policy |
| 20. Loan agreement with Bank Millennium | 2012-04-27 | 410 | WIBOR + margin | 2017-06-25 | joint contractual mortgage, assignment of rights under the insurance policy |
| 21. Loan agreement with BZ WBK | 2016-09-30 | 19,939 | WIBOR + margin | 2021-08-31 | joint contractual mortgage, assignment of rights under the insurance policy |
| 22. Loan agreement with mBank | 2016-08-16 | 4,785 | WIBOR + margin | 2021-07-30 | joint contractual mortgage, assignment of rights under the insurance policy |
| 23. Loan agreement with mBank | 2016-04-11 | - | WIBOR + margin | 2017-10-10 | joint contractual mortgage, assignment of rights under the insurance policy |
| 24. Loan agreement with Bank Millennium | 2016-05-12 | 11,890 | WIBOR + margin | 2021-05-11 | joint contractual mortgage, assignment of rights under the insurance policy |
| 25. Loan from Siemens | 2016-02-24 | 1,884 | WIBOR + margin | 2021-02-28 | promissory note |
| **TOTAL** | | **368,317** | | | |

* *Balance of liabilities excluding commissions.*

Additionally liabilities on account of loans and leases are secured by blank promissory notes.

# 17. Other major changes

## 17.1. Non-recurring amounts and events

In the period from 1 January 2017 to 30 June 2017, the financial performance of the Dino Group was affected by the costs related to the public offering of the Company's shares conducted at the turn of March and April 2017. The total amount of those costs in H1 2017 was PLN 12,272 thousand and it was comprised of costs related to the execution of the offering (PLN 1,493 thousand recognized as costs of third party services and PLN 445 thousand as other costs by nature) and costs of the IPO-related incentive system detailed in the Company's prospectus approved by the KNF on 17 March 2017 (PLN 10,334 thousand in costs of employee benefits of which PLN 7,500 thousand constitutes a non-cash expense related to the incentive program sponsored by the selling shareholder).

## 17.2. Equities

On 18 April 2017, the Management Board of the Warsaw Stock Exchange decided to introduce 98,040,000 series A Company shares with a par value of PLN 0.10 for stock exchange trading on the main floor under the ordinary procedure as of 19 April 2017.

## 17.3. Court disputes

No material litigation was launched in the period from 1 January 2017 to 30 June 2017.

## 17.4. Contingent liabilities, including guarantees and sureties granted by the entity as well as ones in the form of promissory notes, and contingent assets

As at 30 June 2017, the Company had the following contingent liabilities:

1. Surety for the repayment of the PLN 14,750 thousand investment loan granted to Agro-Rydzyna sp. z o.o. by BRE Bank S.A. under agreement no. 40/105/11/Z/IN of 14 December 2011. Floating interest rate. Final repayment date: 31 August 2021. The surety covers the principal, interest accrued on the principal and other costs.

2. Surety for the repayment of the PLN 11,350 thousand investment loan granted to Dino Krotoszyn sp. z o.o. by PKO BP S.A. under agreement no. 50102010260000119601043363 of 25 October 2016. Floating interest rate. Final repayment date: 24 October 2024. The surety covers the principal, interest accrued on the principal and other costs.

3. Surety for the repayment of the PLN 5,000 thousand overdraft facility granted to Agro-Rydzyna sp. z o.o. by Bank Zachodni WBK S.A. under agreement no. K00911/14 of 29 July 2014 with Annex 1 of 28 August 2015, Annex 2 of 25 February 2016 changing the amount to PLN 10,000 thousand and Annex 3 of 23 August 2016. Floating interest rate. Final repayment date: 31 August 2017. The surety covers the principal, interest accrued on the principal and other costs.

4. Surety for the repayment of the PLN 32,000 thousand investment loan granted to Centrum Wynajmu Nieruchomości sp. z o.o. by mBank S.A. under agreement no. 40/090/16/Z/IN of 16 August 2016. Floating interest rate. Final repayment date: 30 July 2021. The surety covers the principal, interest accrued on the principal and other costs.

## 17.5. Investment commitments

As at 30 June 2017, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group store network. The total figure was PLN 59,074 thousand (as at 31 December 2016: PLN 54,851 thousand)

## 17.6. Cash and cash equivalents

For the purposes of these interim statement of cash flows, cash and cash equivalents are composed of the following items:

| | *30 June 2017* | *30 June 2016* |
|---|---|---|
| Cash at bank and in hand | 16,528 | 12,617 |
| Current deposits | 5,703 | 1,392 |
| Other cash (including cash in transit - payment cards) | 7,783 | 3,541 |
| | **30,014** | **17,550** |

The tables below depict the reasons for differences between balance sheet changes in certain items and changes resulting from the statement of cash flows:

| *Receivables (in thousands of PLN)* | *30.06.2017* | *30.06.2016* |
|---|---|---|
| Balance sheet movement in long-term and short-term net receivables | (3,877) | 5,575 |
| Change in receivables from the disposal of fixed assets | 187 | 256 |
| **Movement in receivables in the statement of cash flows** | **(3,690)** | **5,831** |

| *Payables (in thousands of PLN)* | *30.06.2017* | *30.06.2016* |
|---|---|---|
| Balance sheet movement in short-term and long-term payables | 97,912 | 1,356,185 |
| Movement in short-term and long-term loans and borrowings and bonds | (39,908) | (95,480) |
| Movement in bonds and investment certificates | (37,000) | (1,273,511) |
| Movement in payables under lease agreements | (18,317) | (6,984) |
| Movement in fees payable under obtained sureties | 1,509 | 646 |
| Movement in settlements on account of the purchase of fixed assets | (4,236) | (16,896) |
| **Movement in payables in the statement of cash flows** | **(40)** | **(36,040)** |

In H1 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

### 17.7. Other selected disclosures

In H1 2017, the Incentive Program was in force in the Company. Details of the incentive program were presented in the 2016 financial statements.

Within the framework of the program in H1 2017 the selling shareholder awarded compensation of PLN 7,500 thousand to the Management Board. According to IFRS 2 *Share-Based Payments*, this amount was recognized as payroll expenses referring to the Company's other equity.

## 18. Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

In the 6-month period ended 30 June 2017, there were no major changes in the rules for managing financial risk as compared to the 2016 financial statements.

(in thousands of PLN)

## 19. Financial instruments

The Company believes that the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, borrowings and finance lease liabilities does not differ from their carrying amounts. In the 6-month period ended 30 June 2017, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

**Fair value hierarchy of financial instrument classes**

| | *Carrying amount* | | *Fair value* | |
|---|---|---|---|---|
| | *30 June 2017* | *31 December 2016* | *30 June 2017* | *31 December 2016* |
| *Financial assets* | | | | |
| Cash | 30,014 | 54,232 | 30,014 | 54,232 |
| Trade receivables | 24,775 | 25,785 | 24,775 | 25,785 |
| Other financial assets (non-current) | 729,692 | 727,151 | 729,692 | 727,151 |
| **Total** | **784,481** | **807,168** | **784,481** | **807,168** |
| | | | | |
| *Financial liabilities* | | | | |
| Current account overdraft | 6,911 | 1,613 | 6,911 | 1,613 |
| Trade payables | 513,369 | 529,277 | 513,369 | 529,277 |
| Interest-bearing bank loans and borrowings: | | | | |
| - Finance lease and hire-purchase liabilities | 127,034 | 108,717 | 127,034 | 108,717 |
| - Loans and borrowings based on floating interest rate | 400,966 | 365,756 | 400,966 | 365,756 |
| **Total** | **1,048,280** | **1,005,363** | **1,048,280** | **1,005,363** |

## 20. Discontinued operations

The Company did not discontinue any operations during the reporting period.

## 21. Related party transactions

**a) Group**

The Company operates as part of the Dino Polska group.

The Company prepares consolidated financial statements for its group of which it is the parent company.

**b) Parent entity**

The Company's parent entity is Tomasz Biernacki running a business under the name of Zakłady Mięsne "Biernacki" Tomasz Biernacki with its registered office in Czeluścin, Czeluścin 6, 63-830 Pępowo.

The amounts of transactions with the parent entity were as follows:

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 208 | 264 |
| Sales | 1 | - |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Payables on account of goods, work and services | 2 | 53 |

**c) Transactions with other related parties, including entities which are together with the Company under joint control of the parent entity**

The amounts of transactions with subsidiaries and related entities were as follows:

***Agro-Rydzyna spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 211,998 | 197,034 |
| Sales | 93 | 454 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 150 | 147 |
| Payables on account of goods, work and services | 68,357 | 72,463 |
| Other payables | - | 15 |

***Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Interest - finance costs | - | 939 |
| Other finance income | 13 | - |

***Vitrena Holdings Ltd***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Interest – finance income | - | 24 |

***Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 13,261 | 9,092 |
| Sales | 1,234 | 2,625 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 162 | 274 |
| Payables on account of goods, work and services | 5,146 | 431 |
| Loans granted | - | 1 |
| Loans received | 316 | 53 |
| Other receivables | 71 | 61 |
| Other payables | 129 | 2 |
| Other securities | 22,118 | 22,118 |

***Centrum Wynajmu Nieruchomości 1 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 1,896 | 2,830 |
| Sales | 217 | 149 |
| Interest - finance costs | 53 | - |
| Interest – finance income | - | 225 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 6 | - |
| Payables on account of goods, work and services | 364 | 24 |
| Loans received | 2,449 | 3,050 |
| Other receivables | 24 | 26 |

***Centrum Wynajmu Nieruchomości 2 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 4,498 | 4,476 |
| Sales | 299 | 121 |
| Interest – finance income | 363 | 369 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | 4 |
| Payables on account of goods, work and services | 2,544 | 168 |
| Loans granted | 18,804 | 17,377 |
| Loans received | 580 | 96 |
| Other receivables | 45 | 72 |

***Centrum Wynajmu Nieruchomości 3 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 4,126 | 4,325 |
| Sales | 246 | 113 |
| Interest – finance income | 183 | 392 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | - |
| Payables on account of goods, work and services | 1,412 | 256 |
| Loans granted | 9,914 | 7,031 |
| Loans received | 321 | 78 |
| Other receivables | 29 | 112 |

***Centrum Wynajmu Nieruchomości 4 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 2,617 | 2,511 |
| Sales | 242 | 145 |
| Interest – finance income | 190 | 154 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | 9 |
| Payables on account of goods, work and services | 442 | 436 |
| Loans granted | 10,028 | 9,038 |
| Loans received | 203 | 68 |
| Other receivables | 40 | 47 |

***Centrum Wynajmu Nieruchomości 5 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 1,734 | 2,001 |
| Sales | 219 | 46 |
| Interest - finance costs | 33 | - |
| Interest – finance income | - | 1 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | - | - |
| Payables on account of goods, work and services | 757 | 386 |
| Loans received | 2,160 | 1,779 |
| Other receivables | 33 | 20 |
| Other payables | 2 | - |

***Centrum Wynajmu Nieruchomości 6 S.A.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 3,480 | 3,292 |
| Sales | 314 | 138 |
| Interest - finance costs | - | 4 |
| Interest – finance income | 171 | 58 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 16 | - |
| Payables on account of goods, work and services | 585 | 722 |
| Loans granted | 5,213 | 12,042 |
| Loans received | 103 | 100 |
| Other receivables | 158 | 60 |

***Centrum Wynajmu Nieruchomości Marketing spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Sales | 4 | 1 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | - |

***Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation)***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Sales | 4 | 1 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | - |

***Dino Krotoszyn spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 7,508 | 6,338 |
| Sales | 152 | 145 |
| Interest – finance income | - | 21 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | - |
| Payables on account of goods, work and services | 1,600 | 1,684 |
| Other receivables | 178 | - |

***Dino Oil spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Sales | 4 | 1 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 14 | 12 |
| Loans granted | 13 | 13 |

***Dino Północ spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Sales | 4 | - |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 15 | 10 |

***Dino Południe spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Sales | 4 | 2 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | | *Total* |
| Receivables on account of goods, work and services | 15 | 10 |
| Loans granted | 37 | - |

***Pol-Food Polska spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 127 | 172 |
| Interest - finance costs | 725 | 1,804 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 1 | - |
| Payables on account of goods, work and services | 20,946 | 40,967 |
| Other securities | 55,100 | 18,100 |
| Other payables | - | 61 |

Value of transactions with entities which are under joint control of the parent entity together with the Company:

***DAVI Przedsiębiorstwo Handlowe spółka z ograniczoną odpowiedzialnością****

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | - | 1,954 |

**Since 22 June 2016. DAVI Trading Company sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.*

The amount of the transactions with other related entities was:

***TBE spółka z ograniczoną odpowiedzialnością***

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 3 | - |

***Krot Invest KR Inżynieria sp. z o.o. SKA***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 76,887 | 44,043 |
| Sales | 311 | 218 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | 66 | 43 |
| Payables on account of goods, work and services | - | 8 |
| Other payables | 46,754 | 46,172 |

***Krot Invest 2 KR Inżynieria sp. z o.o. Sp.k.***

| *(in thousands of PLN)* | *6-month period ended* | |
|---|---|---|
| | *30 June 2017* | *30 June 2016* |
| | *Total* | *Total* |
| Procurements | 4,419 | 2,925 |

| *(in thousands of PLN)* | *30 June 2017* | *31 December 2016* |
|---|---|---|
| | *Total* | *Total* |
| Receivables on account of goods, work and services | - | 1 |
| Payables on account of goods, work and services | 1,931 | 1,573 |
| Other payables | 42 | 74 |

The amounts of transactions with the management was:

| *Related party* | | *Sales to related parties* | *Purchases from related parties* | *Receivables from related parties* | *Liabilities to related parties* |
|---|---|---|---|---|---|
| Key management (Management Board Members) | | | | | |
| | *2017* | - | - | - | - |
| | *2016* | - | - | - | - |
| Supervisory Board | | | | | |
| | *2017* | - | - | - | - |
| | *2016* | - | - | - | - |

Related party transactions were routine in nature and were concluded on the arm's length basis and for prices that were not different from the prices used in transactions between unrelated parties.

# 22. Events after the reporting period

No material events occurred by the date of the interim financial statements that would have to be disclosed or discussed in these financial statements.

**Independent auditor's report**
**from review of the interim condensed consolidated financial statements**
**for the 6-month period ended 30 June 2017**

**for the Shareholder Meeting and Supervisory Board of Dino Polska S.A.**

*Introduction*

We have carried out a review of the enclosed interim condensed consolidated financial statements of Dino Polska S.A. Group ("Group"), with Dino Polska S.A. ("Company"), with its registered office in Krotoszyn at ul. Ostrowska 122, as the parent entity, drawn up as at 30 June 2017, comprising: interim condensed consolidated statement of profit and loss, interim consolidated statement of comprehensive income for the 6-month period ended 30 June 2017, interim condensed consolidated statement of financial position as at 30 June 2017, interim condensed consolidated statement of cash flows, interim condensed consolidated statement of changes in equity for the 6-month period ended 30 June 2017 and notes and explanations ("interim condensed consolidated financial statements").

Preparation and presentation of the interim condensed consolidated financial statements in accordance with the International Financial Reporting Standard IAS 34 *Interim Financial Reporting,* as adopted by the European Union ("IAS 34") is the responsibility of the Company's Management Board. Our task was to formulate an opinion about the enclosed interim condensed consolidated financial statements on the basis of the review we have conducted.

*Scope of the review*

We have carried out the review in accordance with the National Financial Auditing Standard 2410 in the wording of the International Standard on Review Engagements 2410 *Review of Interim Financial Information Performed by the Independent Auditor of the Entity* issued by the International Auditing & Assurance Standards Board (IAASB) ("standard"). The review of the interim financial statements involves asking questions primarily to persons responsible for financial and accounting matters, and carrying out analytical procedures and other review procedures. The review has a significantly narrower scope than an audit carried out in accordance with National Financial Auditing Standards and, consequently, it does not allow us to obtain certainty that we have identified all material issues that could have been identified if an audit had been carried out. Consequently, we do not express an audit opinion on the enclosed interim condensed consolidated financial statements.

*Conclusion*

Based on the review carried out, we conclude that we have not noted anything that would make us believe that the enclosed interim condensed consolidated financial statements have not been prepared in all material respects in accordance with IAS 34.

Warsaw, 29 August 2017

Key Statutory Auditor

Łukasz Wojciechowski
Statutory Auditor no. 12273

acting on behalf of
Ernst & Young Audyt Polska spółka
z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
record number 130

**Independent auditor's report**
**from review of the interim condensed financial statements**
**for the 6-month period ended 30 June 2017**

**for the Shareholder Meeting and Supervisory Board of Dino Polska S.A.**

*Introduction*

We have carried out a review of the enclosed interim condensed financial statements of Dino Polska S.A. ("Company") with its registered office in Krotoszyn at ul. Ostrowska 122, drawn up as at 30 June 2017, comprising: interim statement of profit and loss for the 6-month period ended 30 June 2017, interim balance sheet as at 30 June 2017, interim statement of cash flows, interim statement of changes in equity for the 6-month period ended 30 June 2017 and notes and explanations ("interim condensed financial statements").

The scope and format of the enclosed interim condensed financial statements for the 6-month period ended 30 June 2017 follows from the Regulation issued by the Finance Minister on 19 February 2009 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent ("Current and Periodic Information Regulation").

Preparation and presentation of the interim condensed financial statements in accordance with the applicable accounting principles (policies) is the responsibility of the Company's Management Board. Our task was to formulate an opinion about the enclosed interim condensed financial statements on the basis of the review we have conducted.

*Scope of the review*

We have carried out the review in accordance with the National Financial Auditing Standard 2410 in the wording of International Standard on Review Engagements 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" issued by the International Auditing & Assurance Standards Board (IAASB) ("standard"). The review of the interim financial statements involves asking questions primarily to persons responsible for financial and accounting matters, and carrying out analytical procedures and other review procedures. The review has a significantly narrower scope than an audit carried out in accordance with National Financial Auditing Standards and, consequently, it does not allow us to obtain certainty that we have identified all material issues that could have been identified if an audit had been carried out. Consequently, we do not express an audit opinion on the enclosed interim condensed financial statements.

*Conclusion*

Based on the review carried out, we conclude that we have not noted anything that would make us believe that the enclosed interim condensed financial statements are not compliant with the applicable accounting principles (policies) following from the Accounting Act of 29 September 1994 and regulations issued accordingly on its basis and the requirements laid down in the Current and Periodic Information Regulation.

Warsaw, 29 August 2017

Key Statutory Auditor

Łukasz Wojciechowski
Statutory Auditor no. 12273

acting on behalf of
Ernst & Young Audyt Polska spółka
z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
record number 130